ECONOMIC SURVEYS

I. 2. b. 5.

SWITZERLAND

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS FEBRUARY 1966

BASIC STATISTICS OF SWITZERLAND

THE LAND

Area (thousand sq.km.)	41.3
Cultivated area (thousand sq.km.)	2.7
Grassland and pastures (thousand sq.km.)	19.0
Forest (thousand sq.km.)	9.8

Major cities, 1964 estimates (thousand inhabitants):

— Zurich	442
— Basle	216
— Geneva	179
— Berne	170
— Lausanne	134

THE PEOPLE

Population in 1964 (thousand)	5,874
No. of inhabitants per sq.km. in 1964	142
Net annual rate of population increase, average 1955-1964 (per thousand inhabitants)	8.3
Labour force, 1960 census (in per cent of total population)	46.3
Agricultural labour force, 1960 census (in per cent of total labour force)	10.1

Number of foreign workers (thousand):

— February 1965	561
— August 1965	676

Increase in the number of foreign workers, annual average 1955-1965 (thousand):

— February census	49
— August census	51

PRODUCTION

Gross national product in 1964 (millions francs)	55.6
Gross national product per capital in 1964 (U.S. dollars)	2,194
Gross fixed investment in 1964 (in per cent of GNP)	29.5
Expenditure on construction, including public works in 1964 (billions francs)	11
Gross income of agriculture in 1964 (billions francs)	3.7

THE GOVERNMENT

Public consumption in 1964 (in per cent of GNP)	11.7
Public works in 1964 (in per cent of GNP)	5.9
Current public revenue in 1964 (in per cent of GNP)	25.8
Debt of the Confederation in 1964 (in per cent of current revenue)	36

Composition of Parliament (per cent):

	National Council	State Council
— Conservative Christian Socialists	24	41
— Radicals Democrats	25	29
— Socialists	27	7
— Agrarians and others	24	23

Last elections: 1964
Next elections: 1967

LIVING STANDARDS

Calories per head, per day; in 1963-1964	3,145
Food expenditure in 1964 (in per cent of total expenditure in worker families)	26
Average hourly earnings of unskilled workers in 1964 (francs)	4.46
Number of passenger cars in 1964 (per 1,000 inhabitants)	133
Number of telephones in 1963 (per 1,000 inhabitants)	363
Number of radio sets in 1963 (per 1,000 inhabitants)	276

FOREIGN TRADE

Exports of goods and services in 1964 (in per cent of GNP)	28.7
Main exports in 1964 (in per cent of of total exports):	
— Manufactured goods	90
of which:	
— Machinery	28
— Watches	14
Imports of goods and services in 1964 (in per cent of GNP)	31
Main imports in 1964 (in per cent of total imports):	
— Food products	16
— Machinery	16
— Fuels	6

THE CURRENCY

Monetary unit: Swiss franc.

Swiss francs par U.S. dollar: 4.32.

ECONOMIC SURVEYS BY THE OECD

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in February 1966.

CONTENTS

Introduction 5

I The Direct Impact of Policy Action 5

Restriction of Entry and Investment of Foreign Capital 6
Limitation of Bank Credit Expansion 7
Control of Security Issues 9
Restriction of New Building Starts 10
Control of Employment of Foreign Workers 11
Federal Budget Policy 11

II The Progress Towards Better Balance in the Economy 13

Demand 13
Supply 15
Foreign Trade and Payments 18
Prices and Costs 21

III Prospects any Policy Requirements 23

IV Summary 25

Statistical Annex 29

BLANK PAGE

INTRODUCTION

The growth of domestic demand was much more moderate in 1965 than in the preceding year, largely in response to disinflationary policy. The reversal of the previous tendency towards a growing deficit on the current balance of payments and the more stable development of prices in many fields, suggest that policy succeeded in establishing a better balance between domestic demand and supply. This led the Federal Council to recommend in November that the restrictions on building activity should be allowed to expire in March 1966, but that the measures affecting the money, credit and capital markets should be maintained.

The present Review attempts to trace the manner in which the government anti-inflationary programme worked and to assess its effects. Part I summarizes the policy action and discusses developments in the areas where it had a direct and immediate impact, as well as in the Federal budget. Part II analyses the progress made towards balance between domestic demand and supply, more stable price conditions and a better equilibrium in the balance of payments. Part III considers the short-term outlook for the economy and the need for further policy action.

I. THE DIRECT IMPACT OF POLICY ACTION

The Government's programme for curbing the growth of demand relied on five types of policy instrument:

i) restriction of entry and investment of foreign non residents' capital,

ii) limitation of bank lending activity,

iii) control of new security issues on the Swiss capital market,

iv) restriction of building starts,

v) licensing of employment of foreign workers.

Little resort was made to budgetary instruments. Most of the measures have been in force since the spring of 1964, but a significant slowdown of the growth of demand was not achieved until 1965.

Restriction of entry and investment of foreign capital

Net capital imports, after running at a level of $0.5 billion or more a year throughout the early sixties, fell to $0.3 billion in 1965. This does not appear to have resulted mainly from the action to curb the foreign capital inflow. Most of the net capital imports in 1964 and a large part of those in 1963, apparently consisted of repatriation of Swiss capital. Except for direct investment, the foreign element had been gradually reduced by the gentlemen's agreements in force since mid-1960, and eliminated by the measures taken in the spring of 1964. Foreign direct investment in Switzerland was apparently not on a high level in 1964. It would appear therefore that the contraction of the net capital inflow in 1965 largely reflected smaller Swiss capital repatriations.

The measures taken in the spring of 1964 were focussed, in particular, on deposits by non-resident foreigners with Swiss banks, denominated in Swiss francs, and on investment in Swiss securities and real estate by non-resident foreigners. They reinforced the provisions of the 1960 gentlemens' agreement[1] between the banks and the National Bank and made it legally binding for the banks:

i) to submit monthly to the National Bank data showing globally their foreign non-resident deposits and if their foreign liabilities in Swiss francs exceed the level of end 1963, information of their assets held abroad in foreign currencies.

ii) to block with the National Bank the equivalent of foreign non-resident Swiss franc deposits (except savings and deposit accounts not exceeding Fr. 20,000) received since the beginning of 1964 and not offset by their investment abroad in foreign currencies.

Following the adoption of these measures, the increase in the banks' holdings of foreign deposits denominated in Swiss francs was reversed. In the 1960/63 period these deposits had risen by Fr. 1 billion a year; they fell by Fr. 0.1 billion in 1964 and by another Fr. 0.3 billion in the first eleven months of 1965 (as compared with a drop of Fr. 0.4 billion in the first eleven months of 1964). While the restrictive policy measures were

1. These committed the banks to treat non-resident deposits as follows:
i) refuse those in excess of Fr. 50,000 and made for a period of less than three months;
ii) cease interest payment on all new sight and time deposits and on new savings and deposit accounts in excess of Fr. 20,000;
iii) charge a 0.25 per cent quarterly commission on deposits drawn before six months (this charge was abolished in August 1963).

mainly responsible for eliminating this inflow, a rather less unsettled situation abroad helped. The funds blocked with the National Bank to cover non-resident Swiss franc deposits not offset by banks' investment abroad have been very small; they stood at Fr. 20 million at end December 1965 and have never exceeded Fr. 25 million.

The action designed virtually to prohibit the entry of non-resident foreign investors into Swiss securities and real estate also helped to reduce the capital inflow from abroad[1]. In 1964 the returns of banks and stockbrokers show sales of Swiss securities by foreign customers exceeding purchases by Fr. 50 million, and in the first eleven months of 1965 sales again were larger than purchases by Fr. 16 million. Non-resident investment in Swiss real estate appears to have contracted fairly strongly. The value of purchases authorized under the law on acquisition of real estate by non-residents declined by one fifth in both years.

Limitation of bank credit expansion

Ceilings on bank lending were first introduced in the spring of 1962 by way of a convention and have been legally binding since the spring of 1964. They are fixed as a percentage of the credit expansion in 1960 or 1961, whichever was the greater. For lending other than on mortgages the ceilings have been kept unchanged at some 80 per cent. For mortgage loans they were raised in early 1965 from 108 per cent to 120 per cent and in late 1965 to 132 per cent. At the former date it was decided that the ceilings would not be strictly applied in the case of lending for non luxory housing and that credits for certain types of high priority building would not be counted against them.

It is not clear how far these arrangements limited bank lending in 1965. The credit expansion was somewhat steeper than in 1964, when it had strongly moderated. Both the public and private sector benefited from the acceleration of bank lending activity. Lending to the latter sector, however, rose much less in 1965 than during the years preceding the decision to give legal force to the Convention on Credit expansion.

1. Whereas the banks had agreed since the spring of 1962 to refrain from selling such assets to non-residents and to discourage transactions in them through non-bank channels, in the spring of 1964 it was made legally binding for banks, as well as all institutions and persons engaged in investment of capital:

i) to refrain from investing on behalf of non-residents in Swiss real estate and mortgages;

ii) to sell in any month to foreign non-residents Swiss securities only up to an amount corresponding to their purchases of such securities from non-residents. Exceptions to this rule were limited to securities of Swiss investment trusts and holding companies keeping at least 80 per cent of their assets abroad, Swiss bond issues the proceeds of which are converted into a foreign currency and used abroad, and share distributions of Swiss companies based on a non-resident's existing shareholdings.

The ceilings were far from fully utilized in 1964 for loans to the private sector; on the average the unused margins amounted to 8 per cent of the ceilings for mortgage credits and 38 per cent for other lending. In contrast, ceilings were exceeded by nearly one fourth in loans for public authorities and enterprises. Data relating to 62 banks suggest that the credit expansion in 1965 did not much affect the unused margins for mortgage lending but reduced somewhat those for other loans. But such indications are only a rough guide inasmuch as they do not cover all the banks subject to the individual ceilings.

TABLE 1. **SELECTED ASSETS AND LIABILITIES OF 62 BANKS**

Fr. billion.

	OUTSTANDING END 1964	INCREASE OR DECREASE		JAN.-NOV.	
		1963	1964	1964	1965
Assets:					
Cash	4.7	0.18	0.47	0.38	—0.96
Loans, total	46.6	4.28	3.43	2.78	3.51
mortgages	22.8	1.51	1.47	1.16	1.36
loans to public authorities	2.7	0.50	0.33	0.41	0.52
other loans	21.0	2.27	1.64	1.21	1.63
Liabilities :					
Deposits, total	43.2	4.38	3.25	2.35	2.20
sight	14.3	1.01	0 84	0.64	0.22
time	9.9	1.82	1.15	0.79	1.84
savings and deposit accounts	18.9	1.55	1.27	0.92	0.14
Own bonds, total	11.9	0.82	1.46	1.25	1.64
medium-term	8.9	0.08	0.72	0.59	1.15
long-term	3.0	0.74	0.74	0.66	0.49

Source: Bulletin Mensuel de la Banque Nationale Suisse.

The credit expansion in 1965 took place despite the countinued, though less marked, decline of new bank deposits. The decline was concentrated on sight deposits, and may have been partly a result of the reduction of the capital inflow from abroad. The growth of savings deposits, in contrast, steepened somewhat after a slowdown in 1964. As in 1964, the banks endeavoured to make good the decline in total new deposits by resort to medium and long-term borrowing . The net issue of bank bonds rose by nearly one third in the first eleven months of 1965, with a spectacular shift from long-term into medium-term issues. This shift reflects largely

the fact that interest rates on medium-term bank bonds could be raised in the course of 1964 to a sufficiently attractive level. The liquidity position of the banks does dot appear to have deteriorated in 1965.

Control of security issues

The control or supervision of new issue activity previously existing only for foreign securities, was extended to domestic securities in the spring of 1964, but without conferring a right of veto on the National Bank. Intended to reduce the scope for capital market finance and check the rise of interest rates, the control is administered by a body of bank representatives headed by the National Bank. This body is charged with setting up quarterly issue programmes for all bond and share issues of Fr. 5 million or more.

This measure had an immediate impact on issue activity. In the last three quarters of 1964 new bond issues, net of repayments, were running at an annual rate of Fr. 2 billion. This compares with Fr. 3.8 billion in the first quarter, strongly inflated by anticipation of the new controls, and Fr. 2.3 billion in 1963. Last year bond issue activity amounted to Fr. 2.4 billion. Share issue activity, in contrast, continued to contract sharply.

The biggest impact of the controls appears to have been in foreign bond issues which, net of repayment, were cut by one half in 1964 and by a further 7 per cent in 1965. Although they are bought largely by foreigners, and indeed constitute virtually the only outlet for foreign portfolio investment in Switzerland today, it was considered appropriate to reduce them to ease the pressure on interest rates. Net domestic bond issues, which had expanded by one fourth in 1964, remained virtually unchanged in 1965. The issue programme announced for the first quarter of 1966 provides for some increase of new domestic bond issues. In 1965 net capital market borrowing by the public enterprises and electric power plants remained on the high level attained in the preceding year, when it had enjoyed a fourfold rise. Other domestic non-banks borrowed net in the market nearly 40 per cent more than in 1964, without, however, attaining the 1963 volume of borrowing. Net bond issues by domestic banks, in contrast, contracted by substantial margins, both in 1964 and in 1965.

The capital market measures had a prompt impact on bond yields. The rise of yields virtually stopped in the summer of 1964. In the winter there was a decline (from 4.08 per cent in November to 3.91 per cent in March 1965 for Federal bonds). Thereafter there was virtual stability until the autumn, when an upward movement again appeared. At the end of the year average yields on Federal bonds stood at 3.98 per cent.

TABLE 2. **NEW PUBLIC SECURITY ISSUES**

NET OF REPAYMENTS

	1962	1963	1964	1965
Bonds, total	1,325	2,295	2,470	2,416
Public authorities and power plants	303	243	1,037	1,064
Banks and mortgage institutions	432	1,139	912	761
Other domestic	150	380	244	332
Foreign	440	533	277	259
Swiss equities, total	654	504	555	265
Total	1,979	2,799	3,025	2,681

Source: Bulletin Mensuel de la Banque Nationale Suisse.

Restriction of new building starts

In the spring of 1964 an embargo was imposed, for a period of one year, on certain types of low priority building and upper limits (corresponding to 100-110 per cent of buildings starts in 1963, depending on the canton) were fixed for all other building. Non-luxury housing was exempted from licensing but made to count against the ceilings.

The available indicators of building starts relate to dwellings authorized in 65 towns and building projects authorised in enterprises subject to the Factory Law. They show that new dwelling authorisations fell sharply in 1965, to 20,660, or nearly one fourth less than in 1964. In that year they had slightly increased (by 2.1 per cent, as against 1.4 per cent in 1963) but this had been due to the abnormally large number of permits granted in the months immediately preceding the imposition of the upper limits and the ban on luxury housing. Industrial building projects examined by the Federal authorities, fell by 10 per cent in the first nine months of 1965, following a slight decline in the preceding two years. In the public sector the expansion of building activity continued, although at a lower rate than previously.

In 1964 about 5 per cent of the cantonal licence ceilings had been left unutilized. The value of projects rejected or hit by the building ban has been estimated at Fr. 1-1.2 billion, corresponding to 8.5-10 per cent of building output in 1964. This does not include projects which were not submitted to the authorities because they were not expected to be authorized. The marked decline of authorized dwellings and factory building in 1965 suggests that the margin of unutilized ceilings widened fairly substantially and that disinflationary measures, other than the control of building starts, helped to calm off the building boom. Or these the restrictions on entry of foreign investors into Swiss real estate and the tighter policy towards employment of foreign workers probably played an important role.

Control of employment of foreign workers

The foreign labour policy had a relatively big impact because it implied restrictions of employment in individual enterprises and not simply on the national level. Last spring it was stipulated that individual enterprises should reduce the number of foreigners employed by 5 per cent between 1st March 1965 and 1st July 1965. Furthermore, permits were no longer to be granted to foreign workers entering Switzerland in search of employment but only to those engaged by a Swiss enterprise prior to arriving in Switzerland. This implied much stricter arrangements than those resorted to in the two previous years. Then there had been no general stipulation about reducing employment of foreigners, but only rules restricting the engagement of new foreign workers to enterprises observing certain limits for the employment of Swiss and foreign workers combined. Exemptions to the general rules had also been more generous than those accorded under last spring's measures[1]. Mainly as a result of this policy the increase of employment of foreigners, after strongly moderating in 1963 and 1964, was reversed in 1965.

TABLE 3. **THE FOREIGN LABOUR FORCE**

Thousand.

	INITIAL WORK PERMITS ISSUED	INCREASE OR DECREASE(—) OF FOREIGN LABOUR EMPLOYMENT		
		TOTAL	UNDER CONTROL	OTHER
1961	423	117	113	4
1962	456	107	96	10
1963	445	51	45	6
1964	455	35	31	5
1965[1]	375	—35	—45	10

1. Preliminary estimate.
Source: La Vie Economique and communication by the Swiss authorities.

Federal budget policy

Developments in the Federal budget in 1965 appear to have conflicted rather strongly with the general objective of demand management policy.

1. Exemptions under the rules introduced last spring were limited to agriculture, forestry, domestic service, hospitals and various social institutions, and firms employing no more than 20 foreign workers or 10 per cent less foreign workers than in March 1963. Also, the 5 per cent reduction of foreign employment did not apply to the building and construction industry, which was subjected to stricter global ceilings.

In recent years revenue had exceeded expenditure, before debt repayment, by Fr. 130-430 million, depending on the yield of the defence tax[1]. According to the budget voted for 1965 this surplus would virtually disappear. In actual fact a deficit appeared, for the first time since the early 'fifties. The 1966 Federal budget implies a further move in this direction. The Government proposal provided for a deficit of Fr. 370 million (before debt repayment). This was reduced by Parliament to Fr. 238 million, which, however, constitutes the biggest deficit ever recorded in Switzerland except during periods of world war.

Apart from some increases of tobacco taxes and customs duties on fuels and certain alcoholic beverages, no change of taxation was made in 1965 or planned for 1966. The growth of Federal receipts, therefore, has tended to moderate with the less buoyant development of incomes and demand, although the slowdown was less pronouced than foreseen in the 1965 budget. The rise of Federal expenditure, in contrast, has remained steep, partly because of rapidly mounting subsidy payments. Such payments were 23 per cent higher than a year earlier in the first nine months of 1965, whereas the budget had only provided for a 13 per cent increase. Federal

TABLE 4. **THE FEDERAL BUDGET**

Fr billion.

	1962	1963	1964	1965	1966
	CLOSED ACCOUNT			VOTED BUDGET	
1. Receipts	4.12	4.21	5.28	4.87	5.63
Of which: direct taxes	0.87	0.58	1.08	0.80	1.35
indirect taxes	2.76	3.07	3.41	3.52	3.81
2. Expenditure:	3.68	4.08	4.86	4.84	5.87
Of which: civil consumption	0.43	0.50	0.55	0.58	0.60
civil investment	0.36	0.75	0.76	0.76	0.86
subsidies	0.75	0.89	1.02	1.13	1.39
military	1.26	1.32	1.47	1.52	1.67
3. Overall budget surplus or deficit (—)[1]	0.43	0.13	0.42	0.03	—0.24
4. Net change in non-monetary assets[2]	0.05	0.45	0.17	0.54	0.39
5. Net real and financial savings (3 plus 4)	0.49	0.57	0.59	0.55	0.15
6. Domestic debt repayment	0.26	0.09	0.32	..	..
7. Net payments to abroad	0.18	0.20	0.05	..	..
8. Internally effective surplus (3 minus 6 plus 7)	0.35	0.24	0.15	..	..

1. Before debt repayments. Surplus on the "Compte financier".
2. Surplus on the "Compte des variations de la fortune".

Source: Swiss Federal Administration.

1. Variations in the yield of the defence tax, which accounts for 7 to 14 per cent of Federal tax revenue, result from the tendency of tax payers to effect in the first year tax payments falling due over a two year period.

investment expenditure was kept virtually constant in 1964 and the budget for 1965 foresaw no increase. Appropriations for 1966, however, exceed outlays in 1964 by 14 per cent.

II. THE PROGRESS TOWARDS BETTER BALANCE IN THE ECONOMY

In some of the areas directly affected by policy action—the foreign capital inflow, bank lending, and capital market issues—there has, then, been a marked change of trend in the last three quarters of 1964, but with little change since. For the employment of foreign labour, which was subjected to tighter restrictions last spring, and for new construction the impact of policy action appears to have been substantial both in 1964 and in 1965.

Final demand was no doubt increasingly affected by policy action as the year 1964 went on. But the main expenditure components of GNP, which are available only on an annual basis, showed no marked change until 1965. Preliminary estimates for 1965 point to a fairly general tendency, pronounced in the case of some items, towards a slower expansion. This brought a remarkable improvement in the current balance of payments and an easing of price pressure in some, although not all, areas.

Demand

Real gross asset formation, the most expansive demand component during most of the boom period, virtually stopped rising in 1965. Preliminary estimates suggest an increase in investment in equipment of some 2 per cent in real terms, slightly less than in the preceding year. This was supplied by domestic resources; imports of machinery and equipment actually fell. Investment in building and construction ceased to expand in real terms, following an average increase of 10 per cent in 1963/1964. The growth of public building and construction moderated, notably on the cantonal and local level. Investment in housing probably continued to increase somewhat, with work on completions more than offsetting the contraction of activity on new building starts. This suggests that there might have been an absolute decline in industrial and commercial building activity.

As suggested above, a number of measures taken outside the area of building credits and construction permits, notably the restrictions on the inflow of foreign capital and labour, probably played a particularly important role in cooling off the building boom in 1965. For example, the limitation of the foreign capital inflow exerted an impact, not only on

TABLE 5. **INDICATORS OF INVESTMENT ACTIVITY**

PERCENTAGE CHANGE FROM PREVIOUS YEAR

	1962	1963	1964	1965
Total gross fixed asset formation (1958 prices)	10.7	6.4	8.7	1.5[1]
Building:				
Gross asset formation (current prices)	13.6	16.9	17.5	3.8[1]
Public	27.1	25.9	21.0	
Private	9.4	13.7	16.0	
Dwellings	5.4	10.4	18.1	
Other	15.3	17.9	10.7	
Dwellings completed in 65 towns	—1.3	—14.8	3.5	5.6[2]
Dwellings under construction in June	7.3	8.2	7.9	—10.6
Dwelling permits issued in 65 towns	—10.0	1.6	2.1	—23.1
Industrial projects inspected under Factory Law	9.5	—2.5	—1.6	—9.5
Building projects reported in January (current prices)	27.3	12.4	20.5	—2.8
Public	26.7	21.4	18.1	2.2
Private	27.5	8.2	21.7	—5.7
Equipment :				
Gross asset formation (current prices)	22.8	8.5	6.8	5.2[1]
Imports of machinery and equipment (current prices)	21.5	5.7	9.9	—1.0[2]

1. Preliminary estimates.
2. January-November.

Source: La Vie Economique.

availability and cost of finance, but on the trend of real estate values and potential profit on housing investment. To some extent normal market forces probably also influenced the development of housing investment. Demand has of late apparently not been adequate, at the high ruling prices and rents of dwellings, to absorb any large additions to the stock of new housing. The percentage of dwellings left vacant was up on the year in December 1964 after having declined in the preceding three years.

The growth of private consumption which has steadily moderated since 1962 fell to some 4 per cent in real terms in 1965. The rise of the value of retail sales was somewhat less steep than a year earlier and the price rise probably accelerated slightly. The further moderation of the growth of private consumption is also apparent in new registrations of passenger cars, which increased much less rapidly in 1965 than in the previous year. The main factors behind the somewhat less buoyant development of consumer spending were the smaller increase of employment, the slower expansion of transfer incomes and the continued rise of the household savings ratio. Some 9 per cent of household incomes appear to have gone into savings in 1965, as compared with 8 per cent in the preceding year and 5 per cent in 1962. The trend of wages and salaries did not change much in 1965.

The tendency towards a moderation of the growth of public consumption, evident since 1962 continued in 1965; the increase in real terms has been estimated at 3.4 per cent, as compared with 5.9 per cent in 1964.

The trends in major expenditure items discussed above point to a slowdown of the rate of growth of real domestic demand in 1965. Preliminary national account estimates suggest that this had a strong impact on imports, but hardly affected the real gross national product which apparently grew at an annual rate of about 4.5 per cent, as compared with 5.1 per cent in 1964.

TABLE 6. **GROSS NATIONAL PRODUCT**

Percentage change in volume from previous year.

	1962	1963	1964	1965[1]
Private consumption	6.6	5.1	4.5	3.9
Public consumption	9.0	8.2	5.9	3.4
Gross fixed asset formation	10.7	6.4	8.7	1.5
Domestic demand, excluding stock building	7.9	5.7	5.7	3.0
Stock accumulation[2]	2.7	1.5	1.7	1.0
Exports of goods and services	6.0	5.2	6.8	8.1
Imports of goods and services	10.4	5.2	8.7	2.0
Gross national product	5.1	4.5	5.1	4.5

1. Preliminary estimates.
2. In per cent of GNP.

Source: OECD submission.

Supply

Indicators of output suggest, however, that these estimates of GNP, derived from the expenditure side, may be too high. Such indicators point to a slowdown of growth of activity in all main sectors. The recently published index of industrial production shows a weakening trend in manufacturing. Data relating to activity in the building trades suggest a much less buoyant building conjuncture than in 1964. Agricultural output was adversely affected by relatively unfavourable weather conditions and the same is true of tourism. Other service trade cannot have expanded sufficiently to roughly offset the weaker trend in these four main sectors of the economy.

The growth of industrial production dropped from 5 per cent in 1964 to 2.3 per cent in the first nine months of 1965. With the important exceptions of the watch, jewellery, metals and machinery industries, the rise of output appears to have come to a virtual standstill in most main branches. In the chemicals industry there was even a fairly large absolute fall, despite the

fact that employment continued to increase. In 1964 industrial production had been rising roughly at the rate of the boom years although employment had practically stopped increasing. All main branches had achieved a much bigger advance of labour productivity than during the boom. In 1965, there was no further steepening of the rise in output per worker.

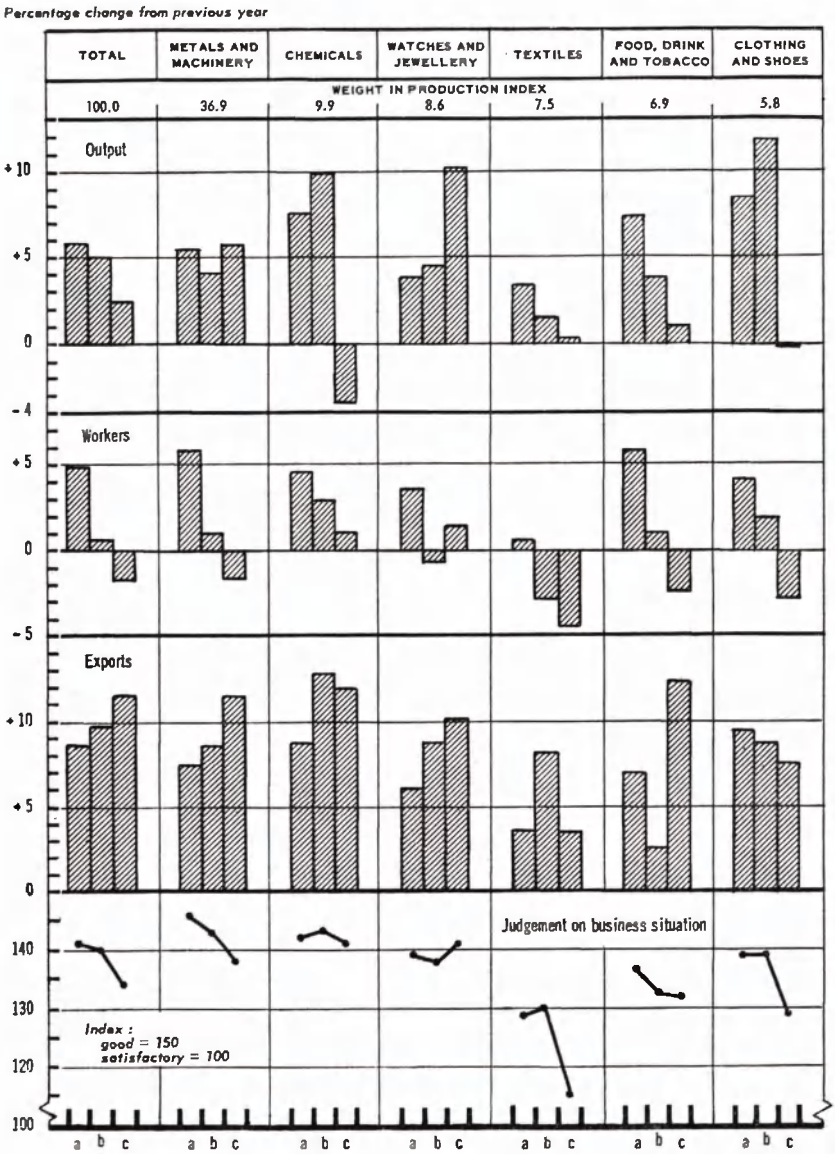
Replies to business enquiries conducted in manufacturing point to steadily less buoyant business conditions. Whereas in 1964 business expectations do not appear generally to have deteriorated, in 1965 there was a clear worsening in most branches, with the exception of the chemical industry, despite the big drop in output suffered in 1965, and the watch industry. Even in the metals and machinery industry, which must have enjoyed buoyant demand both at home and abroad, replies to business enquiries were less favourable in 1965 than previously. Order books in engineering were declining somewhat up to mid-1965, but data for September, which show order books corresponding to 7.9 month's output, suggest that this trend did not continue.

It is also difficult to reconcile data from the demand and the supply side in the case of the building and construction sector. Whereas demand seems to have stopped rising, available indicators suggest some increase in output. Employment remained virtually stable in 1965, after increasing by 3.6 per cent in the previous year. But the productivity advance was stepped up as compared with 1964, when capacities were heavily overloaded with considerable adverse effects on productivity.

If the growth of gross national product slowed down in 1965, this was no doubt mainly in response to the Government's disinflationary policy. Although this policy meant less flexible supply conditions, inasmuch as imports of foreign labour were restricted its main impact on output probably asserted itself through demand. The number of job applicants remained consistently higher, and reported vacancies consistently lower, than in the preceding year. But these indicators may not be a good guide to changes in the degree of labour shortage under the extremely tight conditions existing in the Swiss market; only 120-150 persons are registered as fully unemployed, except in the winter season, and vacancies range from 5,000 to 6,000.

There are other indications that supply limitations were not the main determinant of output in 1965. First, the reduction of employment of foreign workers was much bigger than required by official stipulations. Consumer goods industries, and in particular textiles and clothing, have on the whole made relatively large cuts in employment. In 1965 this appears to have been only partly due to government restrictions, which put consumer goods industries, with their typically high foreign labour share, at a disadvantage. During 1964, when policy did not penalize industries with a high foreign labour share, employment contracted in the main consumer goods industries, while continuing to increase in most other branches.

Diagram 1. **BUSINESS INDICATORS IN MANUFACTURING**



Source: La Vie Economique with supplement No. 75.

NOTE. The diagram covers the period 1961-1965: a = 1961-1963 (annual average); b = 1964; c = 1965 (Jan.-Sept.).

Second, despite the decline of employment—by 1.7 per cent in manufacturing as a whole in the first nine months of 1965, as against an increase of 0.6 per cent in the previous year—the tendency towards shorter work hours became more pronounced (see Appendix Table VII). This was only partly due to the fact that overtime work, which had been generally increasing in 1964, contracted last year. In some cases the drop was marked; in the clothing industry hours of overtime work fell by nearly two-fifths. While for most categories of workers, the wage contracts concluded in recent years provide for a reduction of standard work hours, this will tend to be implemented largely under conditions of easing pressures on labour supply. Such conditions are typically associated also with a contraction of overtime work.

Foreign trade and payments

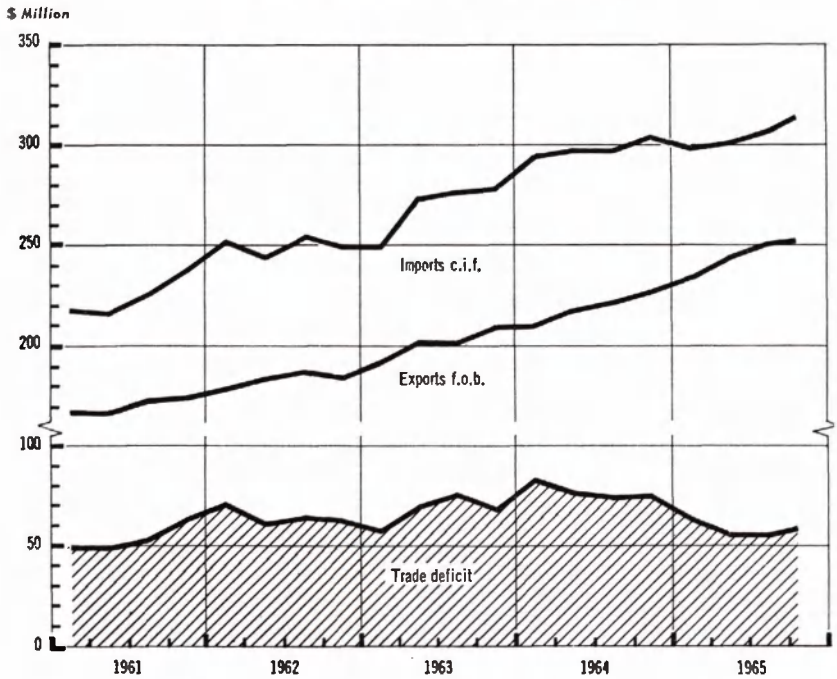
The fact that it was possible, despite a roughly stable labour supply, to maintain a high rate of growth of domestic output at competitive prices meant that the slower rise of total demand could largely be offset by reducing the growth of net imports. The previous tendency towards an increasing deficit on current account was reversed in the course of 1964 and the deficit fell substantially in 1965. It may indeed have been largely eliminated, if allowance is made for the likely underestimation of net receipts on investment income in the published balance of payments data. On the capital account, as well, considerable progress was made towards a more balanced situation. The net inflow fell but remained substantially bigger than the deficit on current account.

The trade deficit, which had corresponded to 7 per cent of GNP in 1964, stopped rising in the spring of that year. But it was not until the first quarter of 1965 that it fell below the level of a year earlier. Seasonally adjusted data point to a steady, though more moderate, improvement of the trade balance well into summer, which may, however, not have continued during the remainder of the year. In 1965 as a whole the trade deficit will probably not exceed $720 million, which is $230 million less than in 1964. In the period 1962-1964 the deficit had increased by some $130 million a year.

The favourable development of merchandise trade in 1965 can mainly be ascribed to imports, which were only 1.9 per cent up on the year in January-November, as compared with an 11.1 per cent rise from 1963 to 1964. It can be seen from the data in Table 7 that imports of manufactures and food, which had risen by 13-15 per cent in 1964 were roughly stable in the first eleven months of 1965. The growth of raw material imports steepened, but if fuels are excluded there was a clear tendency towards stabilization also in this category.

Diagram 2. **FOREIGN TRADE**

SEASONALLY ADJUSTED MONTHLY AVERAGES



Source: Main Economic Indications, OECD.

For commodity exports, by contrast, the expansion accelerated further and appears to have gathered force as the year went on. All main export industries, except footwear and certain textile branches, contributed to the increase. The most impressive performance was achieved by industries producing electrical equipment, pharmaceutics, jewellery, cosmetics, and clothing. There was an absolute decline in exports to Italy and a distinct flattening out of those to France and the U.K. But the rate of growth of shipments to Germany, the Benelux countries and North America again doubled in 1965, as in the previous year. The trend also steepened in exports to third countries. This suggests that the competitive position of Swiss export industries remained strong, despite a somewhat less generous official policy towards export credits. Delivery dates in Swiss manufacturing industry have no doubt shortened and the slower expansion of domestic demand may have strengthened the export drive and helped to check the rise of export prices.

TABLE 7. **MERCHANDISE IMPORTS AND EXPORTS**

Percentage change in value from previous year.

	IMPORTS			EXPORTS		
	1963	1964	JAN.-NOV. 1965	1963	1964	JAN.-NOV. 1965
Total	7.7	11.1	1.9	9.0	9.8	11.2
Food	7.1	14.8	1.4	10.5	1.6	11.9
Raw materials	7.3	2.7	3.3	15.8	16.9	16.2
Manufactures	8.1	13.3	1.5	8.5	9.6	10.8
of which : Machinery & équipment	5.5	10.1	—1.0	7.7	7.7	10.8
Motor vehicle	3.3	10.2	—4.9			

Source: Bulletin Mensuel de la Banque Nationale Suisse.

Net receipts from services had remained virtually stable from 1960 to 1963, but picked up sharply in 1964, when a favourable tourist season coincided with a slower rise of foreign worker remittances due to the smaller foreign worker intake. In 1965 there was little further increase. Repatriation of foreign worker earnings slightly contracted, but net receipts from tourism barely stayed at the previous year's level. Furthermore, earnings on investment income, affected by the large repatriations of Swiss foreign investment in 1965, hardly increased. Such earnings are apparently estimated too low in the Swiss balance of payments. An adjustment for this might well raise the surplus on service account nearly sufficiently to cover the trade deficit resulting in 1965; but according to Table 8 the surplus on services still fell short of this by some $160 million. At end-December the National Bank held $3245 million worth of gold and foreign exchange reserves, $125 million more than a year earlier, with the share of gold in the total increased from 88 to 94 per cent.

Published Swiss statistics do not permit the factors at work in the marked change on capital account to be identified. The data given in Table 9, partly taken from foreign sources, are not very helpful. Certain of the transactions shown do not necessarily affect the Swiss balance of payments and, in any case, they only give certain elements of the picture. There were fairly large Swiss liquidations of long-term securities in the U.S. market in 1964, and no doubt also in the German market in response to the new withholding tax proposals. In 1965 net sales probably continued in both markets, although on a much smaller scale than previously. This may partly have been due to the smaller repatriation of Swiss capital, but partly also to shifts in investments abroad of Swiss capital. Swiss long-term capital exports, in the form of foreign security issues in Switzerland and authorized foreign lending by Swiss banks, fell somewhat in 1965. Public capital exports for development aid were increased. At the same

TABLE 8. THE BALANCE OF PAYMENTS

US $ million[1].

	1961	1962	1963	1964	1965[2]
Goods and services	—213	—340	—362	—413	—160
Goods c.i.f./f.o.b.	—656	—792	—825	—949	—720
Services	443	452	463	536	560
Foreign travel	251	281	300	349	350
Foreign remittances	—233	—291	—337	—360	—350
Other	425	462	500	547	560
Capital transactions	651	454	566	457	286
Increase of official gold and foreign exchange reserves	438	114	204	43	126

1. Exchange rate used: $1 = SF. 4.3
2. Preliminary estimate.

Source: La Vie Economique.

time, net Swiss short-term claims on US, UK and German banks virtually ceased to rise in the first eight months of 1965, after mounting sharply in 1964.

Prices and costs

The calming off of the conjuncture was associated with a more stable price development in a number of sectors in 1965. The rise of building costs further moderated. In October the Zürich building cost index was only 3 per cent higher than a year earlier; in 1963 the rise had amounted to fuly 8.4 per cent. Wholesale prices developed in a more stable manner, at least up to the late months of 1965. Further progress was also made towards stabilisation of real estate prices, which appear to have declined slightly in some cantons. Export prices for manufactures and notably machinery and equipment also behaved in a more stable manner than previously. A similar development characterised import prices for manufactures, which may have contributed to checking the rise of Swiss manufacturers prices.

The slower expansion of domestic demand did not, in contrast, have any perceptible impact on the cost of living index in 1965[1]. It is true that the index climbed somewhat less steeply than previously in the first half of the year. But this was entirely due to a more stable development of food prices and rents. In other consumer prices the previous year's tendency towards acceleration persisted, partly due to adjustments of a number of public utility prices. In the second half of the year, largely as a result of

1. The index is based on a pattern of consumption which dates back to 1939 and gives a weight of 60 per cent to food and rents. A new index is being elaborated.

TABLE 9. SELECTED CAPITAL TRANSACTIONS WITH ABROAD

US $ million.

	1962	1963	1964	JAN.-AUG. 1964	JAN.-AUG. 1965
US direct investment in Switzerland	..	97	215	..	..
Increase of Swiss net long-term liabilities towards US banks	8	—1	26	17	20
Net Swiss purchases of long-term securities:					
in the US	137	32	—127	—105	—46
in Germany	94	297	..	..	..
Net foreign bond issues in Switzerland	102	124	64	124	65[1]
Authorized foreign lending by Swiss banks	49	48	46	..	..[2]
Increase in Swiss net short-term claims on:					
US banks	62	4	437	397	—91
UK banks	..	230	109	182[3]	64[3]
German banks	—22	25	22	—13[3]	—7[3]

1. $60 million in the year 1965.
2. $35 million in the year 1965.
3. January-June only.

Sources: Bulletin Mensuel de la Banque Nationale Suisse; Treasury Bulletin, US Treasury Department; Quarterly Bulletin, Bank of England; Monthly Report of the Deutsche Bundesbank.

TABLE 10. PRICES

Percentage rise from previous year.

	1962	1963	1964	1965 JAN.-JNE.	1965 JLY.-DEC.
The cost of living	4.3	3.4	3.1	2.6	4.2
Food	5.7	3.7	1.7	0.7	3.7
Non-food	3.4	3.3	4.2	3.9	4.6
Rent	5.0	4.2	6.2	4.5	6.4
Other	2.6	2.9	3.3	3.5	3.7
Wholesale prices of basic foods and materials	3.4	3.9	1.9	0.3	1.1
Zurich building prices[1]	8.0	8.4	6.7	4.4	3.0
Export prices:					
Machinery and equipment	6.2	4.8	5.8	2.4	3.1
Durable consumer goods	3.0	5.1	5.0	4.4	4.7
Other non-food consumer goods	0.1	4.1	3.2	0.3	—2.7
Import prices:					
Machinery and equipment	2.8	4.4	4.2	2.3	1.6
Durable consumer goods	2.5	1.9	0.9	1.6	0.4
Other non-food consumer goods	2.4	2.1	4.9	2.9	0.2

1. April and October only.
2. Third quarter. for export and import prices.

Source: La Vie Economique and Annuaire Statistique de la Suisse.

unfavourable weather conditions, food prices again moved upward. This coincided with a steeper rise of the rent index, partly due to statistical factors[1] These were the main reasons why the cost of living index again climbed more strongly in the autumn. But it can be seen from Table 10 that the acceleration of the price rise in other consumer goods continued.

The wage rise does not appear to have steepened in 1965. The most recent data available on earnings, which relate to October 1964, show an increase of hourly wages in industry by 8.1 per cent on the year, which corresponds to the advance in 1963. Wage rates in industry and building were rising at an annual rate of 5 per cent in the first three quarters of 1965, as against 5.7 per cent in 1964. A roughly unchanged trend of wages, combined with a reversal of the previous tendency towards larger productivity gains, suggests that manufactures enjoyed less stable labour costs in 1965 than in the preceding year. But available price indicators and the marked improvement of the foreign trade balance clearly point to a continued strong competitive position of Swiss industry.

III. PROSPECTS AND POLICY REQUIREMENTS

It is assumed that, as proposed by the Federal Council the restrictions on building activity will expire according to schedule next March but that the measures affecting the foreign capital inflow, bank credit and the capital market will be prolonged for another year. Prospects for demand and output will also be strongly affected by the policy with regard to foreign labour. Official statements suggest that the authorities are aiming at a further reduction of the foreign labour force in 1966. On this basis, the trend towards a slowdown of growth of domestic demand would seem likely to continue with a further improvement of the current foreign balance and the price situation.

The abolition of the upper limits on building activity may not greatly affect demand. These ceilings were not fully utilized in 1965, and other factors were partly responsible for the marked slowdown of building starts. Among these were the decline of speculative construction and the increase of interest rates on building credits, both resulting partly from anti-inflationary policy measures. Combined with the higher ceilings for mortgage credits, fixed for 1966, the abolition of the limits may reverse the decline in housing starts. But any large increase in residential construction activity would seem unlikely, given the recent trend of starts.

1. The rent index is normally adjusted for changes in rents only once a year in the month of May.

The reduction of the foreign labour force was probably an important factor behind the slackening inclination to invest in industry in 1965. With a continuation of this policy which restricts the scope for hiring labour to man new plant and equipment, real fixed business investment is not likely to rise much in 1966. The expansion of dwelling construction will probably also be moderate. Public investment, in contrast, should increase fairly strongly, particularly in the Federal sector. But exports are likely to remain the most dynamic element of demand. Given the strong competitive position of Swiss industry and a further expansion of world trade, exports will probably rise at a good rate. The growth of private consumption may slow down somewhat with the decline of employment although a reversal of the rise of the household savings ratio could partly offset this. Aggregate demand may, therefore, expand less rapidly than in 1965. The increase will probably be met largely by domestic production, with little change in imports.

The current balance of payments is likely to improve, with a further decline of trade deficit and an increase of the surplus on services. Given better weather, net tourist earnings should rise faster than in 1965, and a further decline of the foreign labour force should reduce the repatriation of foreign workers' earnings. The current balance, adjusted for the likely underestimation of receipts on service account might well produce a small surplus in 1966. On private capital account, there is little reason to expect a resumption of the previous large inflow as long as the controls affecting foreign capital remain in force. Foreign direct investment in Switzerland and repatriation of Swiss capital are not covered by these controls, and may, therefore continue. If the current and capital account should revert into a surplus position it may be possible to raise capital exports, including public financial aid to developing countries. In the past two years public development aid has been running at an annual rate of $10 to 15 million, but private capital exports to developing countries (including guaranteed export credits) have been roughly ten time as large as this.

The wage rise may not steepen in 1966 and the productivity advance should, if anything, accelerate somewhat in response to rationalization investment made in the last couple of years. Prices should remain fairly stable in most areas, other than the cost of living where the upward trend is likely to continue, although less steeply than in 1965. The lower building costs would be expected to reflect themselves in rents, but the rent index may continue to rise rather steeply, given the declining weight of old (and relatively low rent) dwellings in it, and the rising cost of mortgage credit. Food prices should also behave in a more stable manner once the effects of the poor harvest wear off.

Although the pressure of demand could hardly be said to be excessive, the margin of comfort is still narrow. Given the authorities' objective of further reducing the foreign labour force, thereby adversely affecting the

supply side it would seem reasonable to maintain the existing controls on the foreign capital inflow, capital market issues and bank credit. With the much better balance between demand and supply now prevailing, it seems appropriate that further measures to check the price rise give priority to facilitation of supply adjustments and the productivity advance. It may be necessary to pay special attention to productivity in public utility industries; these were partly responsible for the steepening of the rise in the cost of living index in 1965.

The experience of the last few years clearly underlines the need for developing a range of suitable policy instruments to deal with stabilisation problems. In the absence of such instruments, relatively severe direct controls had to be imposed when the need to restrict the growth of demand arose. The development of monetary instruments—mainly open market operations and reserve requirements—is under consideration. It would also be useful to study how the Federal budget could contribute to stabilisation policy.

IV. SUMMARY

The Government's anti-inflationary programme appears largely to have succeeded in eliminating excess demand, restoring a roughly balanced situation in the current balance of payments, reducing the capital inflow, and slowing down the rise in prices in many fields. With no major change in policy, the pressure of demand should continue to decline in 1966. The current account of the balance of payments may move into a surplus position. This, together with any further private capital inflow, may make it desirable to increase capital exports, including public development aid.

The policy action taken in the last couple of years has proved efficient in restoring economic stability. But the legal basis for some of the measures expires in 1967. It is therefore important that an adequate set of monetary and budgetary instruments to deal with stabilisation problems should be developed.

BLANK PAGE

STATISTICAL ANNEX

BLANK PAGE

TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE

Millions of Swiss francs, 1958 prices.

	1962	1963	1964
Consumers' expenditure on goods and services	26,070	27,405	28,625
Government current expenditure on goods and services	4,520	4,890	5,180
Gross fixed asset formation	10,715	11,400	12,390
Stock changes	1,105	625	755
Exports of goods and services	13,395	14,095	15,050
Less: imports of goods and services	15,485	16,290	17,710
Gross national product at market prices	40,320	42,125	44,290
Income payments to abroad	585	620	640
Less: income payments from abroad	1,205	1,250	1,315
Gross domestic product at market prices	39,700	41,495	43,615

Source: OECD submission.

TABLE II. DISTRIBUTION OF NATIONAL INCOME

Millions of Swiss francs, current prices.

	1962	1963	1964
Income from dependent employment	23,940	26,685	29,390
Wages and salaries	21,565	24,060	26,460
Employers' contributions to social insurance	2,265	2,510	2,810
Pay and allowances of Armed Forces	110	115	120
Income from self-employment	7,210	7,710	8,435
Income of households from property, net	3,775	4,025	4,440
Interest	1,720	1,755	1,990
Rent	1,025	1,140	1,260
Dividends	1,030	1,130	1,190
Less: Interest on consumer debts	70	55	65
Corporate savings	2,105	2,255	2,385
Direct corporate taxes	1,065	1,005	1,265
Government income from property and entrepreneurship	1,340	1,315	1,430
Less: Interest on public debt	585	620	680
National income at factor cost	38,780	42,320	46,600
Indirect taxes	3,295	3,665	4,035
Less: Subsidies	420	470	520
Net national product at market prices	41,655	45,515	50,115

Source: OECD submission.

Table III. GROSS ASSET FORMATION AND SAVINGS

Millions of Swiss francs, current prices.

	1962	1963	1964
Total gross domestic asset formation	13,780	15,120	17,220
Dwellings	3,255	3,590	4,275
Other building and construction	4,895	5,940	6,915
Machinery and equipment	4,490	4,870	5,200
Stock accumulation	1,140	720	830
Total savings	13,780	15,120	17,220
Government	2,040	1,755	1,960
Social insurance	625	715	555
Public enterprises	220	160	140
Corporations	1,885	2,095	2,245
Depreciation	4,395	4,855	5,450
Households and non-profit making institutions	3,040	3,855	4,970
Net borrowing from abroad	1,575	1,685	1,900

Source: OECD submission.

Table IV. GOVERNMENT FINANCE

Millions of Swiss francs, current prices.

	FEDERAL GOVERNMENT			OTHER GOVERNMENT		
	1962	1963	1964	1962	1963	1964
Current receipts	4,055	4,100	4,955	7,850	8,535	9,365
Personal taxes	635	450	770	4,680	5,305	5,875
Corporate taxes	230	130	305	835	875	960
Indirect taxes	2,865	3,210	3,565	430	455	470
Income from property and entrepreneurship	250	250	285	1,090	1,065	1,145
Other current transfers	70	55	30	805	820	900
Current transfers from abroad	5	5	0	10	15	15
Current expenditure	3,695	3,935	4,630	5,545	6,230	7,175
Goods and services	1,680	1,655	1,840	3,645	4,340	4,875
of which: civilian	525	475	535	3,620	4,115	4,235
Subsidies	305	350	395	115	120	125
Interest on public debt	270	270	290	315	350	390
Current transfers	1,440	1,660	2,105	2,705	2,845	3,650
to other public authorities	1,235	1,425	1,865	—	—	—
to households	165	190	180	2,650	2,795	3,595
to abroad	40	45	60	55	50	55
Net savings	360	165	325	2,305	2,305	2,190

Source: OECD submission.

TABLE V. LABOUR MARKET, WORKING TIME AND WAGES

	1962	1963	1964	1964	1965
				Jan.-Oct.	
Labour Market (monthly averages):					
Job applicants	832	1,014	441	407	427
of which: wholly unemployed	599	825	288	259	267
Vacancies	5,983	6,126	6,286	6,394	5,469
Working time:				*Jan.-Sept.*	
Average weekly hours, manufacturing	45.6	45.5	45.4	45.4	44.9
Average weekly work hours, building	47.2	47.2	47.3	48.1	48.0
Overtime hours, manufacturing (million)	17.3	16.6	17.0	12.9	12.1
Wages (percentage change from previous year):					
Hourly rates, industry	5.3	5.9	6.0	5.4	4.9
Hourly wages[1]	7.6	8.2	9.9	..	..
Monthly salaries[1]	6.6	6.2	7.0	..	..
Total income from dependent employment	11.8	11.4	10.1	..	..

1. The data relate to the month of October and cover industry, handicrafts, trade, private transportation and, in the case of salaries, also banking and insurance.

Source: La Vie Economique: Main economic indicators, OECD.

TABLE VI. THE FOREIGN LABOUR FORCE

Thousand.

	1962		1963		1964		1965	
	FEB.	AUG.	FEB.	AUG.	FEB.	AUG.	FEB.	AUG.
Total	445.6	644.7	512.4	690.0	546.2	720.9	561.0	676.3
By profession:								
Agriculture, forestry, fishing	10.3	24.1	9.2	21.8	10.1	19.7	8.7	18.1
Mining, quarrying	0.7	1.4	0.8	1.4	0.8	1.2	0.7	1.4
Manufacturing	243.8	287.6	287.7	313.5	300.6	327.4	314.5	312.2
Building, construction	44.9	162.8	52.3	175.1	64.9	186.3	65.3	168.1
Commerce, administration	17.4	20.2	22.5	24.2	26.7	28.2	27.9	26.8
Hotels, restaurants	59.1	71.1	63.0	72.8	64.0	75.9	66.1	74.6
Transport, communications	2.2	3.3	3.6	4.2	4.4	5.5	5.1	5.2
Liberal and technical professions	23.1	25.8	27.1	28.8	29.9	30.9	31.0	30.1
Domestic service	28.0	28.8	26.2	27.1	24.9	24.7	20.8	20.8
Other	16.1	19.6	20.0	21.1	19.9	21.1	20.9	19.0
By nationality:								
Italian	285.2	454.4	323.2	472.0	335.7	474.3	343.8	448.5
Spanish	26.0	44.2	44.2	63.7	55.5	82.3	64.1	79.4
German	72.1	77.7	74.9	78.4	76.1	78.6	71.9	67.7
Austrian	27.6	29.0	26.3	27.9	26.6	27.7	25.3	24.2
French	16.9	18.7	20.5	21.2	22.7	24.0	24.5	23.8
Other	17.8	20.7	23.3	26.8	29.7	34.0	31.4	32.7
By sex:								
Men	271.4	443.1	321.4	480.6	345.2	501.6	360.0	470.6
Women	174.2	201.6	191.0	209.4	201.0	219.3	201.0	205.7

1. The data relate to persons subject to police control and do not include the some 160,000 foreign workers exempted from such control.

Source: La Vie Economique.

Table VII. OUTPUT AND EMPLOYMENT IN MANUFACTURING

Percentage change from previous year.

	TOTAL	FOOD, DRINK, TOBACCO	TEXTILES	CLOTHING AND SHOES	CHEMICALS	METALS AND MACHINERY	WATCHES AND JEWELLERY
Output[1]:							
1963/1960	5.8	7.5	3.4	8.5	7.7	5.5	3.9
1964	5.0	3.9	1.6	11.9	9.9	3.9	4.4
1965, January-September	2.3	—1.0	0.3	—0.2	—3.4	5.2	10.2
Employment[2]:							
1963/60	4.5	5.4	0.4	4.2	4.1	5.6	2.7
1964	1.0	0.4	—2.6	1.9	3.5	1.3	0.5
1965	—3.0	—2.6	—6.1	—4.9	—0.5	—2.9	0.5
Average hours worked weekly:							
1964	—0.3	—0.3	—0.2	—0.2	0.1	—0.7	—0.4
1965, January-September	—1.0	—0.6	—1.0	—0.7	—0.3	—0.8	—1.1
Overtime work:							
1964	2.3	—7.6	—1.6	12.7	59.7	1.5	25.9
1965, January-September	—6.4	—12.8	—21.2	—32.8	—13.2	—16.7	36.9
Employment of foreigners[3]:							
1963/1960	19.6	30.0	10.0	15.4	28.6	20.2	40.2
1964	6.4	5.7	3.3	6.9	19.1	6.0	15.8
1965	—4.6	—3.8	—7.8	—7.8	0.6	—3.9	5.6
Change of employment of foreigners (in per cent of total employment)[3]:							
1963/1960	5.6	7.0	3.9	7.1	3.5	5.9	4.3
1964	2.4	2.0	1.6	4.0	3.5	2.2	3.0
1965	—1.8	—1.4	—3.9	—4.8	0.1	—1.4	1.2

1. Including public utilities.
2. Data relate to September. Those for 1965 show employment of wage earners only.
3. Data relate to September except those for 1965 which show August and classification by profession rather than by industry.

Source: Annuaire Statistique de la Suisse; La Vie Economique.

TABLE VIII. MERCHANDISE TRADE

US $ million.

	IMPORTS c.i.f.				EXPORTS f.o.b.			
	1962	1963	1964	1965	1962	1963	1964	1965
By area :								
OECD countries	2,691.0	2,896.7	3,197.9	3,282.6	1,651.8	1,817.7	1,989.1	2,252.8
EEC	1,893.8	2,070.4	2,225.1	2,289.5	918.7	1,010.5	1,058.9	1,183.7
EFTA	389.8	433.5	526.8	538.8	367.9	399.2	480.4	555.0
Other in Europe	40.8	42.5	51.9	52.8	72.5	90.0	102.6	124.6
North America	329.1	311.1	350.0	351.8	245.5	257.3	280.1	333.5
Japan	37.4	39.1	44.2	49.7	47.2	60.6	67.1	56.0
Non OECD countries	309.5	337.7	393.2	398.3	547.8	582.8	642.2	719.9
Eastern Europe	58.3	61.2	71.8	80.5	58.1	63.8	64.2	83.6
Other Europe	15.0	18.6	(21.7)	20.3	43.4	52.2	(58.7)	56.0
Africa	60.3	68.8	(87.0)	94.1	79.0	89.6	(96.9)	107.4
America	104.8	107.5	119.9	108.4	158.2	155.4	169.1	172.2
Asia and Oceania	70.7	81.3	(92.7)	95.2	208.8	221.5	(255.5)	300.8
Total	3,000.6	3,234.7	3,591.3	3,680.9	2,200.0	2,401.7	2,632.0	2,972.6
By SITC Sections:								
0. Food, live animals	395.7	426.4	490.6	501.6	93.3	104.4	105.0	116.9
1. Beverages, tobacco	65.4	73.2	76.9	85.8	19.2	27.4	37.1	41.9
2. Crude materials, except fuels	235.0	245.1	265.6	252.1	42.2	53.8	60.1	67.7
3. Mineral fuels, lubricants, etc.	201.0	268.5	232.1	231.0	1.1	1.4	2.9	3.8
4. Animal and vegetable oils and fats	16.3	15.6	16.8	18.4	2.0	2.3	2.4	3.1
5. Chemicals	245.5	255.7	315.7	344.5	416.1	465.8	526.3	585.0
6. Semi-manufactures	728.4	754.1	837.2	871.8	383.1	415.4	458.8	516.6
7. Machinery, transport equipment	799.6	823.8	905.7	884.1	692.8	743.3	796.1	894.3
8. Other manufactures	304.3	357.2	429.1	449.5	539.3	571.2	629.0	700.2
9. Other	9.5	15.2	21.5	42.1	10.9	16.6	14.2	43.0
Total	3,000.6	3,234.7	3,591.3	3,680.9	2,200.0	2,401.7	2,632.0	2,972.6

Source: OECD Foreign Trade Statistics, Series A and B.

Table IX. MONEY AND CAPITAL MARKET

End of period.

	Unit	1962	1963	1964	1965			
					March	June	Sept.	Dec.
Official discount rate	Percent	2.00	2.00	2.50	2.50	2.50	2.50	2.50
Yield to redemption on Federal bonds	Percent	3.12	3.54	4.07	3.91	3.92	3.94	3.98
Mortgage rate (new first mortgages, 12 Cantonal banks)	Percent	3.76	3.78	4.22	4.25	4.29	4.34	4.42
Medium-term bank bond rate (5 large banks)	Percent	3.39	3.64	4.29	4.29	4.29	4.39	4.39
Savings deposit rate (12 Cantonal banks)	Percent	2.75	2.79	2.98	3.17	3.17	3.19	3.21
Money supply, total	Fr. mill.	27,462	29,652	31,452	29,936	30,738	30,237	
of which:								
Note circulation and sight deposits with the National Bank	Fr. mill.	11,306	12,223	12,992	11,831	12,214	11,675	13,258
Sight deposits with 62 banks	Fr. mill.	12,491	13,505	14,340	14,444	14,709	14,702	
Deposits on postal cheque accounts	Fr. mill.	3,140	3,353	3,513	3,054	3,208	3,253	3,810
National Bank gold and foreign exchange holdings	Fr. mill.	12,411	13,287	13,473	12,719	12,990	12,408	14,017
of which:								
Gold	Fr. mill.	11,543	12,204	11,794	11,695	12,071	11,493	13,164
Gold cover of note circulation and sight deposits with the National Bank	Percent	102.1	99.8	90.8	98.9	98.8	98.4	99.3
Recourse to National Bank credits	Fr. mill.	195	240	240	174	280	138	178
Time and savings deposits with 62 banks	Fr. mill.	23,108	26,476	28,887	29,613	29,807	30,514	
Loans and advances by 62 banks	Fr. mill.	38,893	43,174	46,603	47,204	48,177	49,277	
Average share prices (per cent of nominal value)	Percent	835	784	656	602	561	592	544
Average prices of industrial shares (per cent of nominal value)	Percent	1,076	1,007	861	793	737	781	715

Source: Bulletin mensuel de la Banque Nationale Suisse; La Vie Economique.

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
62 Wellington Parade, East MELBOURNE, C.2.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1.
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
N.V. Standaard-Boekhandel,
Huidevettersstraat 57, ANVERS.
BRUXELLES : Librairie des Sciences (R. Stoops), 76-78, Coudenberg.

BRAZIL - BRÉSIL
Livraria Agir Editôra,
Rua Mexico 98-B, RIO DE JANEIRO.

CANADA
Queen's Printer - Imprimeur de la Reine,
OTTAWA.
Prepayment of all orders required.
Les commandes sont payables d'avance.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6,
KOBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'OCDE,
2, rue André-Pascal, PARIS (16e).
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France,
49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
BORDEAUX : Mollat.
GRENOBLE : Arthaud.
LILLE : Le Furet du Nord.
LYON IIe : L. Demortière.
MARSEILLE : Maupetit.
STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MUNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 21, rue du Stade, ATHÈNES.

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRAQ - IRAK
Hamid Abdul Karim
Shorja Bldg, Shorja,
P.O.B. 419, BAGHDAD.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAEL
Blumstein's Bookstores Ltd.,
35 Allenby Road, and 48 Nahlath Benjamin St.,
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Corso Cavour 93, BARI.
Sous - Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House. Government Road,
P.B. 6854.
NAIROBI.

LEBANON-LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
33, Grand' Rue,
LUXEMBOURG.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images.*
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
Wholesale Agent : Meulenhoff & Co., N.V. Importeurs, Beulingstraat, 2, AMSTERDAM C.
Principal Retailer : W.P. Van Stockum & Zoon, Buitenhof 36, DEN HAAG.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
Auckland (P.O.B. 5344)
Christchurch (P.O.B. 1721)
Dunedin (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bastinos de José Bosch, Pelayo 52,
BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu,
ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E.I.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
Mc Graw - Hill Book Company, OECD-Unit,
TMIS Annex, 351 West 41st Street,
NEW YORK 36, N.Y.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Marsala Tita, 23, P.O.B. 36,
BEOGRAD.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Bureau des Publications, 2, rue André-Pascal, Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
OECD, Publications Office, 2, rue André-Pascal, Paris (16e).

OECD PUBLICATIONS, 2, rue André-Pascal, Paris XVIe. No 20,127. February 1966.
PRINTED IN FRANCE

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for 1965-1966 will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA*
DENMARK*
FRANCE
GERMANY*
GREECE
ICELAND*
IRELAND
ITALY
JAPAN*
NETHERLANDS
NORWAY
PORTUGAL
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND*
TURKEY
UNITED KINGDOM
UNITED STATES*

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue:	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series:	*3.3*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

ECONOMIC SURVEYS

SWITZERLAND

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS DECEMBER 1966

BASIC STATISTICS OF SWITZERLAND

THE LAND

Area (thousand sq.km.)	41.3
Cultivated area (thousand sq.km.)	2.7
Grassland and pastures (thousand sq.km)	19.0
Forest (thousand sq.km.)	9.8

Major cities, 1965 estimates (thousand inhabitants):	
— Zurich	440
— Basle	216
— Geneva	178
— Berne	169
— Lausanne	135

THE PEOPLE

Population in 1965 (thousand)	5,945
No. of inhabitants per sq.km. in 1965	144
Net annual rate of population increase, average 1955-1966 (per thousand) inhabitants)	8.4
Labour force, 1960 census (in per cent of total population)	46.3
Agricultural labour force, 1960 census (in per cent of total labour force)	10.1

Number of foreign workers (thousand):	
— February 1966	536
— August 1966	649
Increase in the number of foreign workers, annual average 1955-1966 (thousand):	
— February census	34
— August census	34

PRODUCTION

Gross national product in 1965 (billion francs)	59.9
Gross national product per capita in 1965 (US dollars)	2,326
Gross fixed investment in 1965 (in per cent of GNP)	27.7

Expenditure on construction, including public works in 1965 (billion francs)	11.2
Gross income of agriculture in 1965 (billion francs)	3.4

THE GOVERNMENT

Public consumption in 1965 (in per cent of GNP)	11.9
Public works in 1965 (in per cent of GNP)	5.7
Current public revenue in 1965 (in per cent of GNP)	23.1
Debt of the Confederation in 1965 (in per cent of current revenue)	41

Composition of Parliament (per cent)

	National Council	State Council
— Conservative Christian Socialists	24	41
— Radicals Democrats	25	29
— Socialists	27	7
— Agrarians and others	24	23

Last elections: 1963
Next elections: 1967

LIVING STANDARDS

Calories per head, per day: in 1964-1965	3,140
Food expenditure in 1965 (in per cent of total expenditure in worker families)	25
Average hourly earnings of unskilled workers in 1965 (francs)	4,80

Number of passenger cars in 1965 (per 1,000 inhabitants)	142
Number of telephones in 1965 (per 1,000 inhabitants)	380
Number of radio sets in 1965 (per 1,000 inhabitants)	278

FOREIGN TRADE

Exports of goods and services in 1965 (in per cent of GNP)	30.2
Main exports in 1965 (in per cent of total exports):	
— Manufactured goods	89
of which:	
— Machinery	28
— Watches	14

Imports of goods and services in 1965 (in per cent of GNP)	30.3
Main imports in 1965 (in per cent of total imports):	
— Food products	16
— Machinery	15
— Fuels	6

THE CURRENCY

Monetary unit: Swiss franc.

Swiss francs par US dollar: 4.33.

ECONOMIC SURVEYS BY THE OECD

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in December 1966.

CONTENTS

Introduction 5

I **Recent trends** 5

A. Demand 6

B. Supply 9

C. Prices and wages 11

D. Foreign trade and payments 13

II **Recent policies** 14

Changes in the Stabilization Programme 14

Capital market and credit.. 15

Public Finance.. 18

III **Enlargement of policy instruments** 22

IV **Summary and conclusions** 27

Statistical Annex 29

BLANK PAGE

INTRODUCTION

The growth of private domestic demand has shown a further marked slowdown in 1966. Rapidly increasing public expenditure and a continued improvement in the current balance of payments are the present factors sustaining a very moderate growth of output. The Stabilization Programme introduced in the spring of 1964 has contributed to curb home demand, but its impact on costs and prices is not easily discernible. The restraints have been eased somewhat in 1966, in response to the cooling-down of the internal situation and the shift in the external account. Developments in recent years have led to an increasing awareness of the need to develop more adequate and efficient monetary and budgetary policy instruments for purposes of demand management. A number of proposals have been made, and are expected to lead to parliamentary action in the near future.

After an analysis of recent developments and policies in Parts I and II, the present survey examines in Part III the existing instruments of economic policy in Switzerland and the preparatory work undertaken recently to improve their efficiency and enlarge their scope. Part IV discusses prospects and policy requirements.

I. RECENT TRENDS

The effect on output of the sharp drop of the rate of growth of real domestic demand in 1965 was cushioned by a strong improvement of the external account. Thus, the rate of growth of GNP declined mainly in response to the reduction of labour force, resulting from the new rules governing employment of foreign workers. But in 1966 the improvement in the external account has been much less pronounced; with a further weakening of the expansion of home demand, especially for investment, the rate of growth of the GNP (in volume) is not likely to exceed 3 per cent.

TABLE 1. GROSS NATIONAL PRODUCT

Percentage change in volume from previous year.

	1962	1963	1964	1965[1]
Private consumption	6.6	5.1	4.8	3.5
Public consumption	9.0	8.2	4.1	0.8
Gross fixed asset formation	10.7	6.4	8.9	— 1.4
Domestic sales, excluding stock building	7.9	5.7	5.8	1.9
Stock building[2]	2.7	1.6	1.7	1.0
Exports of goods and services	6.0	5.2	6.9	11.6
Imports of goods and services	10.4	5.2	8.9	3.5
Net current surplus from abroad[2]	— 5.2	— 5.2	— 6.0	— 3.0
Gross national product	5.1	4.5	5.1	4.2

1. Provisional estimates.
2. In per cent of GNP.

Source: La Vie économique, September 1966.

A. *Demand*

For more than two years, investment activity has not exceeded the high level attained prior to the introduction of the stabilization measures early in 1964. Available investment indicators show little evidence of an upturn during 1966. Quarterly GNP and expenditure estimates at current prices show a year-to-year rise of total fixed investment by 2 per cent only in January-September 1966 — an increase probably more than eroded in real terms by higher prices. Domestic output of metal goods in the first half of the year fell significantly below the first half of 1965, but imports of machinery and equipement nearly regained the ground lost in 1965. The volume of industrial building projects inspected under factory law during the first six months of the year was about 5 per cent smaller than recorded in the first half of 1965. The number of dwellings completed in communes of more than 2,000 inhabitants during the first half of 1966 was 4.5 per cent below the corresponding previous year's performance, with the number of dwellings under construction at the end of June lower by 4 per cent than a year earlier. Statistics of residential building permits issued during the same period show an advance on the year earlier of almost 10 per cent, possibly pointing to a reversal of the downward trend of housing starts in the later part of the year. The downward trend of stock-building has continued up to now.

A number of factors seems to have been responsible for the cessation of growth of investment. From 1962 to 1964 fixed investment had been growing almost twice as rapidly as GNP. This rate could have been sustained only if expectations of future demand developments had continued to be highly optimistic. The introduction of the Stabilization Pro-

TABLE 2. INDICATORS OF INVESTMENT

Percentage change from previous year.

	1963	1964	1965	1966
Total gross fixed asset formation:				
Current prices	13.9	13.8	1.3	2.0[3]
1958 prices	6.4	8.9	—1.4	
Equipment:				
Gross asset formation (current prices)	8.5	6.8	4.0	
Imports of machinery (current prices)	5.6	9.9	0.2	12.6[3]
Building:				
Gross asset formation (current prices)	16.9	17.4	0.0	
Public	25.9	21.0	3.5	
Private	13.7	16.0	—1.5	
Dwellings	10.4	18.1	1.5	
Other	17.9	10.7	—7.6	
Dwellings completed[1]	—7.9	1.5	7.8	—4.5[3]
Dwellings under construction in June[1]	8.1	7.9	—10.7	—3.8
Dwelling permits issued[1]	9.6	—4.3	—21.4	9.9[3]
Industrial projects inspected under Factory Law	—2.5	—1.6	—9.4	—4.5[3]
Building projects (estimated costs)	8.2	21.7	—2.8	—2.8
Public	8.5	6.8	2.2	6.3
Private	5.7	9.9	—5.7	—7.8

1. In communes with more than 2,000 inhabitants.
2. First half.
3. Jan.-Sept.

Source: La Vie économique.

gramme in 1964 and the tightening of capital market conditions induced a change in this climate. In addition, the Programme directly limited the financing of investment and the volume of building. Furthermore the new legislation governing employment of foreign labour adversely affected investment, at least in the initial phase, through its effect on existing investment plans and on expectations of the future course of total demand.

The direct effect of the Stabilization measures as such is probably most clearly seen in the sharp reversal of the trend in the building market. Between 1960 and 1964 building investment in current prices had risen at an annual rate of about 18 per cent. There was no further increase in 1965 and there will probably turn out to have been some decline in 1966. The measures to reduce the influx of foreign workers have limited the potential capacity of the building industry; but the absolute drop in building output and the fact that the decrease in the number of foreign building workers has been much bigger than prescribed suggest that the trend of demand has been affected even more by the policy decisions. The rise of public expenditure (in nominal terms)

in building and construction was reduced from an annual rate of about 23 per cent in 1960-1964 to 3.5 per cent in 1965. Private building demand was affected even more (a growth of 16 per cent par annum in 1960-1964 giving place to a decline of 1.5 per cent in 1965). Restrictions on the inflow of foreign capital, supplemented by measures to curb credit expansion, have helped to tighten financing conditions, and the decline of the foreign labour force has, at the same time, reduced potential housing demand and discouraged business construction. The restrictions on foreign investment in Swiss real estate and the temporary stop imposed in the spring of 1964 on certain types of low priority building, together with the introduction of licensing for other buildings, have also helped to calm down the building boom.

The factors behind the weaker trend of investment in machinery and equipment are more complex. Expenditure on machinery and equipment at current prices had risen at high, but gradually declining, rates between 1960 and 1964; in 1965 it rose by only 4 per cent in current prices, and probably very little in real terms. The sudden change of the labour supply situation no doubt led to a reconsideration of business investment policies. Enterprises could no longer count on getting labour to man new plant and equipment and were, in a number of cases, even forced to reduce the numbers they employed. In these circumstances, the possibility of enlarging capacity by capital widening has become extremely limited. In theory, the less ample labour supply would provide a compensating stimulus to labour saving investment. Such a process seems to have started, but its effect on total productive investment has up to now been limited, probably because of the time lags affecting investment decisions, especially in the face of changing and uncertain prospects of overall demand and labour supply. In addition, the tendency to postpone the implementation of new rationalization projects has probably been enhanced by the tightening of financial conditions. There are also reasons to assume that the long boom prior to 1964 had in some cases led to the development of excess capacity and, perhaps to less comfortable financing situations; the subsequent stagnation can therefore, in a certain measure, be considered as a natural breathing space.

The expansion of the volume of private consumption levelled off in the first half 1966. Consumer spending at current prices, on a national accounts basis, is estimated to have risen by 7.7 per cent in the first quarter of 1966 and by 5.1 per cent in the second quarter over the corresponding periods a year earlier; but the cost of living index over the same periods increased by 5.2 per cent and 5 per cent. There is some statistical evidence suggesting a revival of private consumption in recent months. The value of retail sales, seasonally adjusted, tended to decline between January and May but has since picked up somewhat, with the year-to-year increase going up from an average rate of 4.0 per

cent in the second quarter to almost 6 per cent in July-August. The relatively weak trend of consumer spending during the earlier part of the year can be ascribed to various factors. The reduction of employment has, until recently, been bigger than previously; consumer prices and income tax liabilities have risen faster (1966 being a year of heavy defence tax payments). In addition, there seems to have been an " autonomous " rise in the savings ratio. Swiss savers appear, as usual, to have responded strongly to the increase of interest rates on deposits; and the rise of credit costs may also have exerted a dampening influence on consumption, given the high mortgage indebtedness of the Swiss economy[1]. Finally, there may have been a temporary saturation of demand for certain durables, influencing saving activity rather more than spending on other consumer goods. The influence of some of these factors may have largely spent itself or should gradually wear off as time goes on. The faster rise of wages and transfer incomes observable since the beginning of the year should provide for some further recovery of consumer spending in the coming months.

The growth of government consumption has accelerated noticeably in 1966, following a marked slowdown in 1965. The year-to-year increase in the first half of 1966 amounted to as much as 11.6 per cent in value terms as compared with 6.6 per cent in 1965 as a whole. The federal budget for 1966 provides for an increase in civil and military consumption of 13.2 per cent on the previous year's estimates, suggesting that the high rate of growth will be maintained in the second half of the year.

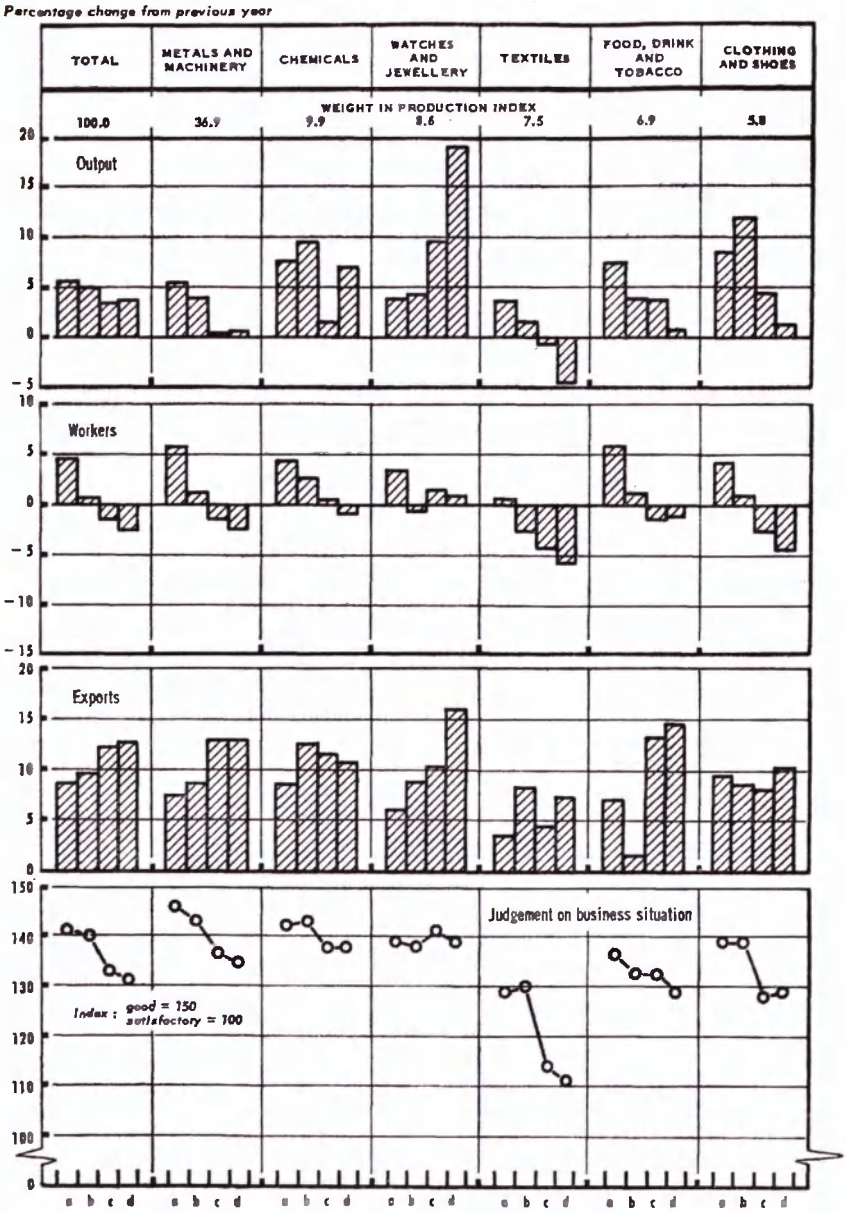
Exports of goods and services remained the strongest expansionary force during the first half of this year, although the advance on a year earlier has dropped as compared with the second half 1965 (from 14.7 per cent to 10.7 per cent at current prices). The flattening trend of merchandise exports and the relatively bad tourist season during the summer months point to a further slowdown of the growth of exports.

B. *Supply*

The growth of domestic output during the past year has probably been more restricted than previously by limited labour supply conditions. The reduction of non-agricultural employment in 1966 is estimated at 1.1 per cent after a decline of 0.8 per cent in 1965 and an increase of

1. Total mortgage indebtedness is estimated at SF 50 billion—i.e. of the same order as national income, and variations of the interest rate level are rapidly reflected on the interest paid on the mass of outstanding mortgage debt. Therefore, the primary effect of a one point rise in interest rate would be, roughly speaking, a more than 1 per cent reduction in consumer income net of interest on mortgage debt. The *final* effect is probably much less, depending on the distribution of ownership of mortgage credits, policies of the institutional lenders regarding increased income, etc.

Diagram 1. **BUSINESS INDICATORS IN MANUFACTURING**



Source: La Vie économique and Bulletin mensuel de la Banque Nationale Suisse.

NOTE. The diagram covers the period 1961-1966; *a* = 1961-1963 (annual average); *b* = 1964; *c* = 1965; *d* = 1966 (January-June).

1.8 per cent in 1964. But the slowdown of the growth of production during 1966 is mainly linked to the weaker trend of overall demand. This shows itself in the tendency towards less tension in some sectors of the labour market (already becoming apparent in 1965) and in the fact that in a number of sectors employment of foreign workers has been reduced more than required by the foreign labour rules.

The index of industrial production (gross output), seasonally adjusted, showed substantial progress in the first quarter of 1966 after nine months of stability, but remained unchanged in the second quarter. The production of watches and jewellery and chemicals has risen sharply; but the decline in output of textile and metal products has become more pronounced and food and clothing industries have expanded much less than a year earlier.

The reduction of industrial employment continued at an accelerated rate. In the first half of 1966 the number of industrial workers dropped by 2.5 per cent as compared with the first half 1965, after an average decline of 1.4 per cent in 1965. The decrease can probably be fully ascribed to the reduction of the foreign labour force. In the years ending February and August 1966, the number of foreign industrial workers fell on the average by 5.6 per cent as against a decline of 4.6 per cent during the year ending August 1965, and an increase of 4.6 per cent during the year ending February 1965. Unemployment is still virtually non-existent.

In contrast to manufacturing, the growth performance of other sectors must have experienced a significant set-back in 1966. This is particularly true of building activity, which dropped below last year's level. Output of the service trade has been adversely affected by the less buoyant overall demand and the trend of agricultural production has been, as in the previous year, influenced by relatively unfavourable weather in the summer.

C. *Prices and wages*

Wholesale prices remained virtually stable during the first nine months of 1966. The rise of construction costs slowed down further; the Zurich building cost index rose by 2.3 per cent between October 1965 and October 1966 as against a rise of 3.0 per cent during the preceding twelve months. The rise in consumer prices in the first nine months of 1966 continued roughly at the same pace as during 1965, but the year-to-year rate of increase accelerated from 3.4 per cent in 1965 (average) to 4.9 per cent in January-August 1966. Food prices remained stable at the high level attained at the end of last year, but the trend of rents steepened. In September, the annual rate of increase of the

cost of living index came down to 4.1 per cent, of which 37 per cent were accounted for by the rise in government controlled prices[1] (+5.4 per cent) and public services (+4.3 per cent) and 34 per cent by rent increases (+8.0 per cent). Consumer prices excluding rent and publicly controlled prices showed an increase of 2.2 per cent only.

TABLE 3. PRICES AND WAGES

Percentage rise from previous year.

	1963	1964	1965	1966[4]
Cost of living[1]	3.4	3.1	3.4	4.9
Food	3.7	1.7	2.2	5.4
Non-food	3.2	4.0	4.2	4.6
Rent	4.2	6.2	4.5	7.3
Other	2.7	2.9	3.6	3.3
Wholesale prices		1.3	0.6	2.1
Domestic products		1.4	0.9	2.4
Imported goods		1.2	—0.4	1.8
Agricultural products		1.7	1.2	1.0
Manufactured food, drink, and tobacco		1.3	0.6	5.3
Metals and metal products		5.3	2.0	3.8
Textiles		1.7	—3.6	—1.7
Zurich building prices[2]	8.2	6.8	3.7	2.6
Export unit value index	3.9	3.7	1.8	4.0[5]
Import unit value index	3.0	1.9	0.9	1.9[5]
Hourly wages (industry)[3]	8.1	8.1	7.5	
Hourly wage rates (industry and building)	5.4	6.0	4.8	6.2[5]

1. The weighting is based on the consumer expenditure pattern in 1936-37. (The percentage weights are 40 for food, 20 for rent and 40 for other.)
2. Average, of April and October.
3. Data relate to October only.
4. January-September, except where otherwise indicated.
5. January-June.

Source: Main Economic Indicators, OECD; La Vie économique; Annuaire statistique de la Suisse.

There is no recent information on earnings, the movement of which had slightly decelerated in 1965. Negotiated wage rate increases in industry and building were, on the average, only fractionally bigger in the first half of this year than a year earlier (4.8 per cent as against 4.6 per cent) but as the percentage of workers affected by the wage adjustments was significantly larger (84.6 per cent as against 64.6 per cent) the level of average standard wage rates in the first half of 1966 was 6.1 per cent higher than a year earlier as compared with an average of about 5.0 per cent for both the first and second halves of 1965.

1. Milk and milk products, meat and tobacco.

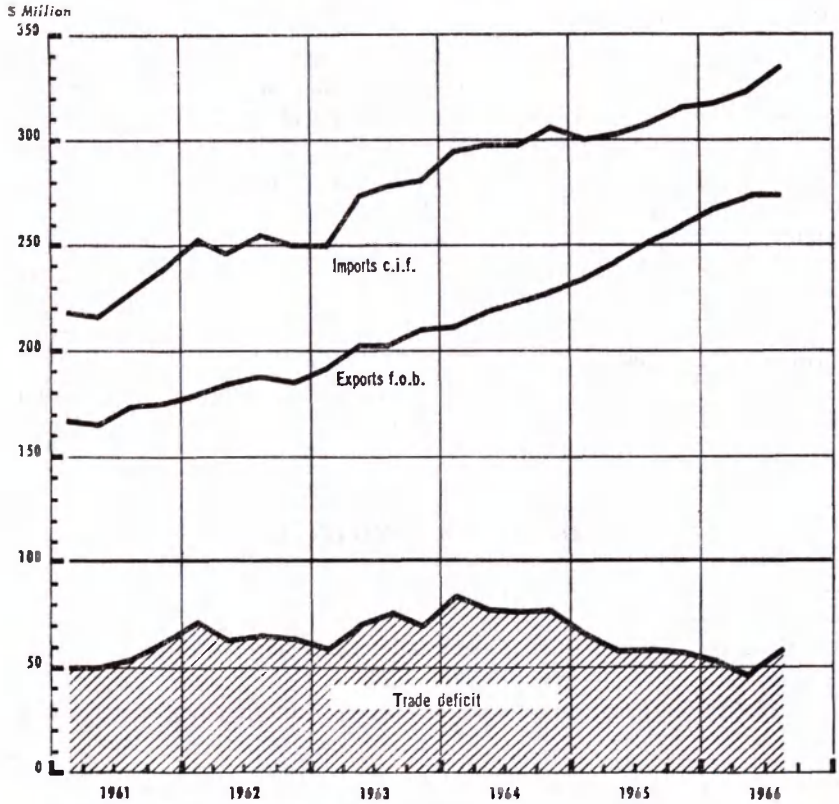
D. *Foreign trade and payments*

Since 1965, the balance of payments situation has changed in two important respects. The current balance has swung from deficit into a growing surplus; and the previous high net capital inflow, sharply reduced in 1965, seems to have been reversed in 1966. The improvement of the current account reflects the slackening of internal activity coinciding with a stronger trend of world demand. The shift on capital account was probably induced by policy measures, but has been strengthened importantly by widening yield differentials against Switzerland.

The deficit on goods and services (balance of payments concept) fell from the post-war record of $ 413 million in 1964 to $ 70 million in 1965. In 1966 the balance may have shown a surplus of some importance. On a national accounting basis, the current external balance

Diagram 2. **FOREIGN TRADE**

SEASONALLY ADJUSTED MONTHLY AVERAGES



Source: Main Economic Indicators, OECD.

had already moved into surplus in 1965; this swing corresponded to 3 per cent of the current value of the GNP. The improvement of the foreign balance in 1966 was mainly due to the further decline of the trade deficit but the surplus on invisible trade has also grown further.

The rapid growth of merchandise exports continued until May 1966, while imports slowed down noticeably. Since May the trend of both exports and imports has been rather flat, with some worsening of the trade balance in August-September. The revival of imports in the second half of 1965 and the subsequent slowdown in 1966 is largely related to changes in the trend of consumer goods imports. Imports of investment goods remained below the previous year's level throughout 1965 but picked up rather sharply since thereafter. The growth of exports was led by food industries and metals and machinery, among which the watch industry recorded the strongest increase during the first eight months of the year. Shipments of textiles and clothing, including shoes, recovered strongly. Exports to the EFTA expanded much faster than to the EEC, which were affected by more sluggish demand conditions in Germany. But exports to the United States have shown the most rapid increase.

Information on capital movements is poor. From information on current transactions and official reserves it can be inferred that sizeable net outflows of capital have taken place during the first nine months of 1966 following sharp reductions of the previous high surpluses in the preceding two years. The decline of the National Bank's reserves by $ 359 million from December 1965 to October 1966 was to a large extent caused by the unwinding of swap transactions of end-1965 between the National Bank and private credit institutions, on the one hand, and the Bank and the BIS on the other hand. Private non-bank capital transactions appear to have produced relatively important net capital outflows while banks' net foreign assets do not seem to have changed much on balance, if allowance is made for end-of-year swap transactions with the Swiss National Bank.

II. RECENT POLICIES

Changes in the Stabilization Programme

The general orientation of economic policy has not changed substantially since the introduction of the disinflationary programme in early 1964[1]. The Stabilization Programme was prolonged for another year early in 1966.

1. The main features and the first stages of the implementation of the Programme have been described in the last OECD Survey of the Swiss economy (Paris, February 1966) where also an attempt was made to assess the quantitative impact of the measures taken between March 1965 and January 1966.

But several of the specific measures contained in the programme have been abolished or eased.

i) Quantitative building controls were formally abolished in March in response to the calmer building conjuncture and because unused licences had increased substantially during 1965.

ii) The rules governing employment of foreign labour laid down in March 1966 envisage a further but less severe reduction of the number of foreign workers: 3 per cent from March to August 1966 and another 2 per cent by the end of January 1967 as against 5 per cent from March to August 1965. Percentages are based on foreign employment on 1st March 1965 or on the average number of foreigners employed in 1964, whichever is higher; but for 1966 they exclude frontier workers and, partly, foreigners engaged in scientific research or in the tourist trade. The ceilings have also been less rigidly applied than previously in the case of firms which have reduced their numbers of total employed by 15 per cent or more since 1st April 1963.

iii) Substantial capital outflows led the National Bank to abandon gradually the former restrictions on foreign capital investment in Switzerland. As from 1st April investment of foreign capital in new bond issues of Swiss mortgage institutions and cantonal and local banks was permitted, and real estate unit trusts were allowed to sell certificates to foreigners up to a total amount of 6 per cent of their net assets as at 31st December 1965. As from 23rd June unlimited foreign funds may be invested in other bonds and cash certificates. On 17th October the ban on foreign investment in Swiss shares, investment trust certificates and mortgages was also lifted.

The regulations, however, which forbid interest payments on foreign franc deposits and oblige the banks to offset net addition to such deposits through money exports or payments to the National Bank remain in force. It is, however, very doubtful whether the virtual full liberalization of capital imports will have any immediate effects on the Swiss capital market, given the fact that the limited scope for foreign portfolio investment in Switzerland, which existed even after the ban had been decreed, has never been fully utilized.

Capital Market and Credit

Despite the relaxation of measures concerning the entry of non-resident funds, capital market conditions have tightened further until recently in response to the high level of interest rates abroad. The

general rise of the interest rate level has accelerated since the spring of 1966, causing the National Bank to raise the discount rate from $2^1/_2$ to $3^1/_2$ per cent and the Lombard rate from $3^1/_2$ to 4 per cent on 6th July. To ease the pressure on long-term rates the Capital Market Commission has tightened its restrictions for domestic capital market borrowing. For the second, third and fourth quarters of 1966 the ceilings for new bond issues, net of conversion loans, were fixed below the corresponding levels of a year earlier and substantially below the actual volume of applications. In the first ten months of the year total Swiss bond issues, net of conversion issues, amounted to SF 1,922 million as compared to SF 2,198 million a year earlier. At the same time, share issues remained at the depressed level of the previous year.

The control of foreign issues, on the other hand, appears to have been handled more liberally in 1966 than previously. During the first ten months of 1966 the value of foreign bond issues in Switzerland totalled SF 454 millions as compared with SF 245 million in January-October 1965 and SF 383 million in 1964 as a whole. The increase is partly due to banks' participation in certain Euro-issues. With a view to strengthening the traditional Swiss position as an international financial centre the National Bank has enabled the big banks since the spring 1966 to play a more active role in the Euro-issue market[1]. It was also decided to abolish the 3 per cent coupon tax on all bond yields as from 1st January 1967.

The arrangements concerning the fixing of ceilings on the expansion of bank credit were prolonged for another year in December 1965. The ceilings have been raised from 120 per cent to 132 per cent for mortgage loans and have been kept unchanged at 79 per cent for other lending[2]. The growth of total lending during the first ten months of 1966 continued at a slightly faster rate than a year earlier, but may have slowed down somewhat thereafter. A the end of October the total volume of outstanding credit, including discount credits (62 banks) showed a rise over the year of 8.5 per cent as against an average growth of 8.8 per cent in 1965. Loans extended to the public sector continued to expand faster than credit to the private sector on a year-to-year basis, but the difference became much less pronounced than in 1965, when the former grew more than twice as fast than the latter. On the average, the unused margin of the credit ceilings in the first six months of 1966

1. As from 1st April 1966 the National Bank has authorised the big banks to participate in certain new loan issues offered for public subscription abroad. In August a Swiss banking consortium was established to participate in Euro-issues. The Swiss banks' share has to be placed in Switzerland without recourse to public advertising and 50 per cent at least must be placed with foreign customers. An amount of $ 10 million has been envisaged as a guideline for an upper limit for the Swiss portion of each loan.

2. The ceilings are fixed as a percentage of credit expansion in 1960 or 1961, whichever was the greater.

amounted to 27 per cent in the case of loans to the private sector and 17 per cent in the case of mortgages. As compared with 1965 the unused margins have changed little.

TABLE 4. **SELECTED ASSETS AND LIABILITIES OF 62 BANKS**

Fr. billion.

	OUTSTANDING END 1965	INCREASE OR DECREASE				
		1963	1964	1965	JAN.-OCT. 1965	JAN.-OCT. 1966
Assets:						
Cash	4.8	0.18	0.47	0.10	— 0.88	— 0.85
Loans, total	55.7	4.44	4.09	4.51	3.59	3.73
Mortgages	24.4	1.51	1.47	1.57	1.24	1.27
Loans to public authorities	3.2	0.50	0.33	0.52	0.44	0.30
Other loans	23.0	2.27	1.64	2.01	1.46	2.03
Discount credits	5.0	0.16	0.65	0.41	0.45	— 0.13
Liabilities:						
Deposits, total	46.4	4.38	3.26	3.17	2.23	2.17
Sight	14.8	1.01	0.84	0.41	0.36	— 0.13
Time	11.1	1.82	1.15	1.14	0.80	1.21
Savings and deposit accounts	20.6	1.55	1.27	1.62	1.07	1.09
Own bonds, total	17.3	1.16	1.90	1.97	1.73	1.00
Medium-term	10.1	0.08	0.72	1.20	1.08	0.43
Mortgage	3.7	0.34	0.44	0.23	0.21	0.22
Other long-term	3.6	0.74	0.74	0.54	0.44	0.35

Source: Bulletin mensuel de la Banque Nationale Suisse.

During the first ten months of 1966 the growth of deposits continued at a slightly lower rate than in the preceding two years, with the shift from sight to longer-term deposits much more pronounced than a year earlier. Sight deposits of the 62 banks covered by current statistics contracted by 0.9 per cent between the end of last year and the end of October, whereas they had still shown some increase (2.5 per cent) a year earlier. Apart from seasonal factors, the decline seems to have reflected the reduced capital inflow from abroad[1] and, furthermore, the greater attraction of time deposits following the increase in interest rates. The incremental deposit/lending ratio fell from 62 per cent to 58 per cent between the January-October periods of 1965 and 1966.

1. For the arrangements concerning deposits by non-resident foreigners with Swiss banks, see the last OECD Survey on Switzerland, p. 6.

In contrast to the two preceding years, banks were unable to make good the decline in the inflow of deposits by increased recourse to capital market borrowing. Indeed, total sales of cash bonds and certificates, bank and mortgage bonds during the first ten months of the current year were 42 per cent smaller than a year earlier. Despite the substantially reduced inflow of funds into the banking sector, the liquidity position of the banks does not seem to have significantly deteriorated. At the end of September the total amount of cash and discount bills was still somewhat higher than a year earlier and recourse to the National Bank, though increased somewhat, remained very limited.

Public Finance

The financial position of the public sector has increasingly deteriorated since 1964, largely because of the failure to adjust the growth of receipts to the steep rise in expenditure. Total government (federal, cantonal and local, excluding social security) savings have been reduced from about SF 2 billion in 1964 to 1-1.5 billion in 1966. The traditionally high financial surplus of the Confederation, before debt redemption, was

TABLE 5. THE FEDERAL BUDGET

Fr. billion.

	1962	1963	1964	1965	1965	1966	1967
	CLOSED ACCOUNT				VOTED BUDGET		GOVERNMENT PROPOSALS
1. Receipts	4.12	4.21	5.28	4.95	4.87	5.63	5.40
of which:							
direct taxes	0.87	0.58	1.08	0.82	0.80	1.35	1.04
indirect taxes	2.76	3.07	3.40	3.59	3.52	3.81	3.83
2. Expenditure	3.68	4.08	4.86	4.92	4.84	5.87	5.83
of which:							
civil consumption	0.43	0.50	0.55	0.57	0.58	0.60	0.70
civil investment	0.63	0.75	0.76	0.75	0.76	0.86	0.79
subsidies	0.75	0.89	1.02	1.18	1.13	1.39	1.46
military	1.26	1.32	1.47	1.53	1.52	1.67	1.70
3. Overall budget surplus or deficit (—)[1]	0.43	0.13	0.42	0.03	0.03	— 0.24	— 0.43
4. Net change in non-monetary assets[2]	0.05	0.45	0.17	0.42	0.54	0.39	0.52
5. Net real and financial savings (3 + 4)	0.48	0.57	0.59	0.45	0.56	0.15	0.09
6. Domestic debt repayment	0.26	0.09	0.22	0.28	..	..	..
7. Net payments to abroad	0.18	0.20	0.05	0.34	..	..	..
8. Internally effective surplus (3 — 6 + 7)	0.35	0.24	0.25	0.09	..	..	..

1. Before debt repayments. Surplus on the "Compte financier".
2. Surplus on the "Compte des variations de la fortune".

Source: Swiss Federal Administration.

virtually eliminated in 1965 and replaced by a substantial deficit in 1966. Between 1963 and 1965, the last two years of low defence tax receipts, it had declined from SF 126 million to SF 31 million and between 1964 and 1966, the last two years of high defence tax receipts, there will have been a sharp swing from a surplus of SF 420 million to a deficit of SF 240 million. If debt repayments are taken into account and allowance is made for payments to abroad, federal cash transactions will have added some SF 100 million to domestic liquidity in 1966, following more than ten years of substantial domestic liquidity absorption which, in 1965, had still amounted to SF 90 million.

The growth of federal revenue has slowed down markedly in the past two years. Receipts, net of defence tax and repayments of loans, advances and participations, increased by more than 11 per cent in both 1963 and 1964, but by less than 5 per cent in each of the following two years. The reduction of the rate of growth is even more striking if, to eliminate the influence of defence tax receipts, total receipts are compared with the respective position two years earlier. On this basis the annual trend rate of growth dropped from 14 per cent in 1964 to about 8.5 per cent in 1965 and to probably less than 4 per cent in 1966[1]. It should be noted that direct tax revenue increased faster between 1964 and 1966 than during the preceding two years, and that certain excise taxes and custom duties on tobacco, fuels and alcoholic beverages also showed a steeper rise, due to increased rates. But this has been much more than offset by a marked slowdown of growth of the general turnover tax, customs duties and federal government and enterprise net receipts from property and entrepreneurship.

While federal expenditure does not seem to have been actively used for demand management purposes, its expansion had at least been kept more or less in step with the rise in receipts up to the early 'sixties. But there has been a clear departure from that tendency in 1966, when total expenditure, net of debt repayment, was envisaged to rise on 1964 results by 20.8 per cent, and on 1965 estimates by as much as 21.3 per cent, with receipts expected only to rise by 6.7 per cent and 15.7 per cent respectively. The authorities have been successful in curbing the rise in civil consumption in 1966 but the trend of subsidies, military expenditure and investment has steepened. The 1966 deficit is being covered by running down cash reserves and medium-term borrowing.

The Government's budget proposals for 1967, submitted to Parliament at the end of October, imply a further worsening of the Federal financial position. Total receipts are forecast to fall by SF 234 million below the 1966 estimates. The defence tax is expected to yield SF 400

1. Receipts in 1964 were inflated by particularly high repayments of formerly granted loans, advances and participations. If this volatile element of revenue is disregarded the rates of growth would read as 11.5, 8.5 and 6 per cent.

million less and the reduction of customs duties vis-à-vis the EFTA countries will cause a loss of revenue of SF 225 million. Total expenditure, excluding debt repayment, is envisaged to be SF 40 million lower than the 1966 estimates, although increases in individual appropriations totalling SF 270 million have to be included in the budget. The proposed offsetting cuts of expenditure relate to the contributions to the cantons and to investment. The cash deficit before debt redemption works out at SF 432 million as compared with SF 238 million in 1966[1]. It would be reduced by SF 70 million if the proposed tax increases were to be voted by the middle of next year. In contrast to this year's deficit financing, it is intended to cover the deficit by long term capital market borrowing (conversion of two maturing loans and possible issue of loans).

The likely effect of the 1967 budget on the economy is not easy to assess. The further substantial rise in the cash deficit should exert an expansionary impact. But it results from reductions in customs duties which will probably tend to stimulate demand for foreign goods more than for domestic products, and from the two-yearly cycle of the defence tax, the uneven incidence of which probably does not effect consumer spending greatly. On the other hand the absolute level of government expenditure — and *a fortiori* its share in GNP — will fall. Here again, the significance of this fall is limited because allowance should be made for the fact that appropriations are to some extent being adjusted to the two-year cycle of receipts. Perhaps more important is the fact that the planned expenditure cuts are concentrated on items having a direct and strong bearing on output and income.

It is unfortunate that delays in the collection and publication of public finance data other than for the Federal budget — partly inevitable — render analysis of current trends of so important a factor in the national economy impossible. For the period up to 1965, it can be seen from Table 6 that the dominant tendency in recent years has been for current receipts (net of those related to current transfer payments) to rise less rapidly than current expenditures. The resulting virtual stagnation of the net current savings of the public sector is in striking contrast with the steep rise in public investment expenditure (construction). It is obvious that the traditional position of the public sector as an important net lender has changed, from 1963 onwards, into one of net borrower; the shift, in five years, has been of the order of 4 per cent of GNP. There is every reason to suppose that this trend has continued, become faster in 1966, and that the same will probably be the case in 1967. The problems connected with this are discussed further below.

1. However, the forecast increase in the cash deficit is less dramatic than suggested by the recently published longer-term budget projection and by the first administrative expenditure estimates, both pointing to a deficit of the order of magnitude of SF 1 billion.

TABLE 6. PUBLIC FINANCE

	UNIT OF BASE	1960	1961	1962	1963	1964	1965
General Government[1]:							
Current receipts	Millions of Swiss francs	9,300	10,410	11,905	12,635	14,125	14,795
in per cent of GNP	%	25.1	25.1	25.9	25.1	25.4	24.7
net of current transfer payments[2]	Millions of Swiss francs	7,105	7,870	8,995	9,555	10,320	10,760
in per cent of GNP	%	19.2	19.0	19.5	19.0	18.6	18.0
Current expenditure on goods and services	Millions of Swiss francs	3,870	4,600	5,325	5,995	6,600	7,035
in per cent of GNP	%	10.4	11.1	11.6	11.9	11.9	11.7
Net current savings	Millions of Swiss francs	2,325	2,305	2,665	2,470	2,505	2,440
in per cent of total domestic saving	%	36.2	31.3	34.1	28.8	25.5	22.8
Public construction	Millions of Swiss francs	1,435	1,700	2,160	2,720	3,290	3,405
in per cent of total fixed asset formation	%	16.6	15.7	17.1	18.9	20.1	20.6
Federal Government:							
Current receipts[3]	Millions of Swiss francs	2,470	2,565	2,830	2,675	2,930	2,830
in per cent of total government receipts	%	26.6	24.6	23.7	21.2	20.7	19.1
of which: direct taxes	Millions of Swiss francs	640	455	865	580	1,075	770
indirect taxes	Millions of Swiss francs	2,245	2,620	2,865	3,210	3,565	3,770
Current expenditure on goods and services	Millions of Swiss francs	1,020	1,530	1,680	1,655	1,840	1,855
in per cent of total government consumption	%	26.4	33.3	31.5	27.6	27.9	26.4
Net current savings	Millions of Swiss francs	720	275	360	165	160	5
in per cent of general government's savings	%	3,120	11.9	13.5	6.7	6.5	0.2

1. Including Social Security
2. Excluding subsidies and interest on public debt.
3. Net of transfers to other government.

Source: OECD submission; La Vie économique.

III. ENLARGEMENT OF POLICY INSTRUMENTS

Economic policy-making in Switzerland is seriously hampered by the lack or inadequacy of instruments. This can be traced to institutional, political and psychological factors; and is also linked with particular aspects of the Swiss economic history.

It should be borne in mind that the country is, constitutionally and effectively, a Confederation of autonomous entities, the cantons. The degree of centralization is very limited in comparison with any other modern country; the Federal authorities enjoy only a restricted portion of sovereignty conferred upon them by the constitution. An immediate economic consequence is that the Federal Government's share in total public finance amounts to about one-third only. Moreover, the type and size of revenue the Confederation can levy are defined in the Constitution, and therefore can only be changed through the referendum procedure, which may take as much as two years. As presently defined, the ordinary receipts of the Confederation consist largely of revenue from indirect taxation, customs duties and the defence tax; they are not particularly well-suited to demand management purposes. The Confederation cannot in practice exert any important influence on the level of income taxes. The Swiss National Bank is also confronted with difficulties which do not exist to the same extent in other countries. The instruments accorded the National Bank by law to carry out its functions are inadequate and it has therefore to rely importantly on the voluntary co-operation with the banks. In addition, the very fragmentary state of economic statistics reflects for a large part the prevailing attitudes concerning freedom and " privacy " of firms and individuals.

For a long period, this state of affairs seemed perfectly compatible with a healthy economic development. Indeed, Switzerland's post-war economic history represents an outstanding example of a market economy which, during a period of more than fifteen years, achieved and reconciled the main goals of economic policy without major policy intervention. Between 1945 and 1960 Switzerland enjoyed a sustained high rate of growth with rapidly rising living standards, maintained full employment and an extraordinarily high degree of internal and external financial stability, and contributed to the expansion of world trade. During the fifties, real GNP rose at an average annual rate of about 4.5 per cent, with an increase in output per employed of some 2.5 per cent. The cost of living index rose by less than 1.5 per cent annually, and the current external account remained in a comfortable surplus.

This picture was stongly disturbed when the 1960-61 boom got underway. The steepening trend of demand involved heavy pressure on domestic resources. Prices and costs rose substantially and the current balance deteriorated rapidly. Developments abroad have often been accused in the public debate of ultimate responsibility for inflationary pressures, but this contention seems exaggerated. There was little funda-

mentally new in world economic trends during this period; and Switzerland is not alone in having to take external developments into account when designing its economic strategy. The inadequacy of economic policy instruments, especially in the monetary field, should rather be blamed in this respect, but more important was that Swiss domestic demand, in nominal and in real terms, began to grow faster than internal productive potential, despite an accelerated intake of foreign labour. The boom in domestic demand was linked, in the first place, with a strong expansion of fixed investment. This was reinforced by three strong underlying tendencies: the very rapid rise in total public expenditure, the increasing pressure of wages and the inflow of foreign funds which importantly enlarged the credit base of the banks.

In these conditions, the formerly successful recipes of voluntary agreements and public appeals for restraint, again applied between 1960 and 1963, proved insufficient. But there was little other choice under existing legal and institutional arrangements. In particular, budgetary policies could not be used as a contra-cyclical instrument. This would have required important constitutional and legal changes together with fuller public understanding of the needs of demand management policies in general and the important role that the budget could play in this respect.

The introduction of the Stabilization Programme in 1964 was an acknowledgement of the fact that the Swiss economy could no longer be controlled by the traditional policy means. More importantly, it marked the beginning of a general re-orientation of economic policies. The programme was devised as a stop-gap measure to gain time while new instruments of demand management were prepared. It included a number of emergency measures which, for a limited period of time, enlarged the legal basis for policy action. The need to accord the authorities a more permanent set of adequate policy instruments has remained in the fore of public debate in recent years. Efforts to provide for these requirements have already borne some fruit.

During the last couple of years the statistical basis for more efficient demand management policy has been improved. The most important step was probably the setting up of national account statistics (expenditure and income side) on an annual and, more recently, quarterly basis. The quarterly calculation of industrial production supplements the expenditure estimates. Improvements have also been achieved in the field of price statistics. The old wholesale price index of basic food and materials has been replaced by a new index which includes semi and finished manufactures. Since October the cost of living has also been calculated on the basis of a new index. But some of the obstacles to adequate economic analysis have not yet been removed. There are, as yet, no national accounts from the production side and the reconciliation of national expenditure estimates with the available output indicators sometimes raises

difficult problems. Information on earnings, orders and balance of payments developments are still very poor.

The original objective of the authorities to set up a comprehensive conjunctural programme, to replace the legal provisions contained in the Stabilization Programme, has proved difficult to realize. But the preparatory work to increase the powers of the National Bank as soon as possible has been intensified and studies have been undertaken to explore the possibilities in the field of public finance.

According to the Federal constitution, the general tasks of the Swiss National Bank are not different from those of other central banks. But the instruments provided are inadequate. They consist of the discount and collateral credit policy, certain means of open market operations, authority to influence the interest rate on bank cash bonds and to approve or disapprove capital exports in the form of bank credits to abroad and foreign bond issues in Switzerland. The application of the discount policy seems to be encountering certain difficulties. The banks are traditionally reluctant to draw on the National Bank's discount facilities[1] and public opinion is hostile to any deliberate raising of interest rates by the National Bank. But the main obstacle to any effective credit policy is the virtual lack of any influence by the National Bank on the liquidity base or the credit potential of the banks.

Following protracted negotiations between the National Bank and the Swiss Bankers' Association, a bill to revise the National Bank Law of 1953 was submitted to the public for discussion in May 1966. The most important proposals are to enable the National Bank:

i) to oblige the banks to keep minimum reserves with the National Bank, with required reserves calculated on the basis of increases in deposits rather than on the stock of deposits. The maximum ratios envisaged range from 5 per cent for medium-term cash bonds and savings deposits to 40 per cent for sight deposits, with double ratios for liabilities vis-à-vis foreigners;

ii) to introduce certain limits for the expansion of credits, which, however, should not be fixed below the prospective increase in real GNP;

iii) to issue its own interest-bearing debt certificates for open market operations.

The bill envisages a time sequence for the use of these instruments. Minimum reserves should only be levied or raised when milder measures, such as discount policy, open market purchases and swap transactions, have failed to produce the desired results. Credit ceilings are considered as a last resort when the imposition of minimum reserves risks being insufficient or inadequate.

1. Furthermore, it should be noted that Swiss banks are generally fairly liquid. To reinforce their liquidity position at peak periods of seasonal fluctuations they sell foreign exchange to the bank of issue or deposit treasury bills as collateral for credit.

Although a revision of the law along the lines proposed would entail an important extension of the legal powers of the National Bank, these would still appear to be much more restricted than in most other countries. The bill virtually excludes the possibility of an effective deflationary policy and to some extent makes even difficult a preventive disinflationary policy because the application of *incremental* reserve ratios entails that the Bank can only partly mop up additional bank liquidity, and this only when the increase results from growing deposits. Another serious restriction of the powers of the National Bank follows from the envisaged procedure of fixing minimum reserves and credit ceilings. Before the National Bank can take any action in this field it has to ask for the opinion of the permanent banking commission. If no agreement can be reached, the final decision lies with the National Bank Committee which is composed of a president and a vice-president, to be elected by the Federal Council and eight members of the Bank Council representing business and both sides of industry.

Public debate on the proposed revision of the Bank Law among the interested bodies and circles (which is the first step of the normal legislative procedure before a draft law comes before Parliament), can be summarised as follows.

i) There is general agreement that the Bank's powers should be enlarged, but some quarters advocate that the new instruments should not be given to the Bank before the Government is in a position to present a more comprehensive conjunctural and growth programme. Otherwise it is feared that the burden of demand management would continue to be carried by the monetary authorities.

ii) The suggested improvement of open market policy instruments is generally welcome, but some quarters urge caution, fearing that the National Bank would be forced to look for its own profitable investments in order to cover the interest charges involved in open market sales.

iii) Opinions about the proposed minimum reserve rules are divided. Informed opinion seems generally to approve the principle that the Bank should be entitled to oblige the credit institutions to freeze part of their liquid reserves; but the restriction of the minimum reserve rules to incremental liabilities is an object of criticism.

iv) The proposals for the quantitative restriction of credit expansion are sharply criticized by banks and business, on the grounds that they would involve heavy interference with the activity of banks and cannot be reconciled with the principle of a free interprise economy. It is maintained that a decision of such importance should be left to the banks in the context of voluntary agreements with the monetary authorities.

Parliamentary action on the new bill is expected in the course of next year.

The authorities are also considering the more difficult task of rendering the Federal budget a more effective instrument of demand management policy. So far, they have largely concentrated on medium-term budget forecasting, the possibility of future budget economies, and the prospects of raising receipts to bridge the increasing gap expected between revenue and expenditure.

The results of the forecasting work, undertaken by a group of experts nominated by the Federal Council in mid-1965, have recently been published. The forecast covers the period 1966-1974 and is based on the assumption of an 0.6 per cent average annual increase in the active population (no increase of the foreign labour force), a 2.8 per cent increase in productivity and a 3 per cent increase in prices (GNP deflator). The average annual price deflator for government expenditure on goods and services is put at 3.6 per cent. Receipts have been estimated on the basis of unchanged tax laws and declining customs duties. Expenditure estimates are based on present spending laws but also make allowance for certain new budgetary charges likely to result from prevailing policy trends concerning national road financing, expenditure on research and universities, and nationalization of certain private railways. On this basis, and adjusting for the biennial incidence of the defence tax, the Commission expects the financial deficit of the Confederation to increase from SF 275 million in 1966 to SF 1.9 billion in 1974. The experts see little scope for cutting down expenditure. The report recommends a sharp increase in taxation without making concrete proposals. It does, however, suggest a switch to *ad valorem* customs duties, increased flexibility of the tax system and the establishment of an official long-term financial planning office. The Commission also criticizes the irregular trend of receipts and expenditures.

Ways and means of checking the increase of expenditure are being studied by another government-nominated commission. Its mandate was originally restricted to federal subsidies only. But when its findings on this subject were recently published it became clear that the scope for economy was very small. The commission was therefore asked to extend its examination to all types of expenditure. So far as subsidies are concerned, the commission found scope for federal economies of about SF 140 million, or roughly 10 per cent of the total federal subsidies in 1966. Subsidy cuts of about SF 50 million could be decided by the Government without revisions of law[1]. The remainder would require changes of law or, in some cases, of the constitution.

1. These cuts have already been decided and included in the 1967 budget proposals.

With a view to adjusting receipts to the increased financial needs of the Confederation, an emergency programme has been drafted by the Federal Council and has recently been submitted to the Parliament. The measures proposed include: cancellation of the 10 per cent rebate on the turnover tax introduced in 1956 and the defence tax introduced in 1963 and reduction of the exemptions from the turnover tax. The additional tax receipts for the next two years, resulting from these changes, are estimated at SF 70 million in 1967 (additional turnover tax only), SF 389 million in 1968 (SF 292 million turnover tax and SF 97 million defence tax). Furthermore, an increase in customs duties on diesel oil has been decided, assumed to yield additional receipts of SF 30 million; practically the total of this would be earmarked for road construction.

The proposed subsidy cuts and tax increases would not cover the increase forecast in the budget deficit. The Federal Council may, therefore, suggest strengthening the discretionary power of Parliament in the field of tax rate changes. This would require, among other things, that constitutionally-fixed maximum tax rates should be raised or made less rigid.

IV. SUMMARY AND CONCLUSIONS

During the past three years, economic activity in Switzerland has been strongly affected by the effort to curb the excessive trend of investment and by the new foreign labour policy. The effect has been a deceleration of the growth of the economy, fully felt after the autumn 1965. Investment activity fell in 1965 and 1966, the growth of consumption slowed down significantly and the foreign balance improved markedly as a result of divergent trends of home and world demand.

Trends in 1967 may, on the whole, be more favourable. The growth of domestic demand should accelerate somewhat. Signs of a revival of private investment appeared during the first half of 1966, when the downward trend of imports of machinery and equipment was reversed and building permits for residential and industrial construction showed some buoyancy. The negative impact of the rigid employment ceilings on output and investment will largely have spent itself by the end of this year. The factors making for a slowing-down of the growth of private consumption in 1966 may also gradually wear off. The improvement of the current foreign balance, on the other hand, is unlikely to continue. The growth of exports has slowed down in recent months; given strong demand on world markets it should accelerate again somewhat in 1967, but the weak trend of German imports may remain an adverse factor. Depending on the strength of the expansion of overall demand, the use of the control instruments at the disposal of the authorities will have to remain rather strict or may be softened further. If the signs of recovery of productive investment, apparent in the first half of 1966, were not

confirmed, measures to stimulate investment should be envisaged. A new expansion of domestic demand need not imply an aggravation of the cost-price problem, given the greater margin for growth in 1967 and the likelihood that the external surplus on current account will no longer provide a source of buoyancy.

But the persistence of cost and price pressures in 1966, despite the weaker trend of demand, should lead to a more thorough consideration of the economic trends underlying the developments of the last years. Behind the investment boom of 1962-1964, other factors modifying the traditional Swiss economic scene were at work. There was a continuous strong rise in total public expenditure, not matched by a parallel rise in revenue. Whilst, in the past, the whole balance of the Swiss economy was adapted to a net lending position on the part of the public sector, it has been required to adjust itself, in the space of four or five years, to a permanent inflationary impact from this source. And as in other modern economies, a stronger " wage push " has developed, despite a very large intake of foreign labour. The Stabilization Programme of 1964 did not cope with these problems, partly because of legal and political constraints. It attempted, instead, to curb private investment, and helped very probably by a spontaneous weakening of the investment cycle, it succeeded. The limitation of employment of foreign workers has probably also contributed, in a first stage, to weaker investment demand. But if it has to be maintained, the rate of private productive investment will have permanently to be raised to limit the effects of enhanced wage push. Also, the setting of rigid individual ceilings for *total* employment, which has hampered factor mobility by encouraging labour hoarding and penalizing the growing firms, should be reconsidered.

The present risk is that, with the worsening financial position of the public sector and resulting inflationary pressure, the temptation may arise to rely on the curbing of private investment; in the longer run, this would only aggravate the situation. Important constitutional and political difficulties to the reform of public finance increase this risk. Recent efforts to improve and extend policy instrument are therefore strongly to be welcomed. The proposed extension of the powers of the National Bank can be considered as a first step towards more effective demand management. This reform would allow replacement of exceptional measures adopted in 1964 by control instruments based on ordinary legislation. But the main field where reform is urgently needed is public finance. The need of the public authorities to seek new sources of income to prevent their financial position from deteriorating so dramatically as forecast should lead to a general revision of budgetary rules, procedures and policies at the Federal as well as the cantonal level. It should be possible to frame reforms in this field which would enable public sector finance to be managed with a sufficient degree of coherence and flexibility without abolishing the cantonal and local autonomy which is so marked a characteristic of Swiss life.

STATISTICAL ANNEX

BLANK PAGE

Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

Millions of Swiss francs, 1958 prices.

	1963	1964	1965
Consumers' expenditure on goods and services	27,405	28,730	29,735
Government current expenditure on goods and services	4,890	5,090	5,135
Gross fixed asset formation	11,400	12,415	12,235
Stock changes	625	735	450
Exports of goods and services	14,095	15,050	16,860
Less: imports of goods and services	16,290	17,710	18,260
Gross national product at market prices	42,125	44,310	46,155
Income payments to abroad	620	640	595
Less: income payments from abroad	1,250	1,315	1,535
Gross domestic product at market prices	41,495	43,635	45,215

Source: OECD submission.

Table II. DISTRIBUTION OF NATIONAL INCOME

Millions of Swiss francs, current prices.

	1963	1964	1965
Income from dependent employment	26,685	29,415	32,090
Wages and salaries	24,060	26,520	28,960
Employers' contributions to social insurance	2,510	2,775	3,010
Pay and allowances of Armed Forces	115	120	120
Income from self-employed	7,710	8,420	8,765
Income of households from property, net	4,025	4,450	5,015
Interest	1,755	2,005	2,355
Rent	1,140	1,260	1,325
Dividends	1,130	1,185	1,335
Less: Interest on consumer debts	55	70	90
Corporate savings	2,255	2,385	2,435
Direct corporate taxes	1,005	1,260	1,220
Government income from property and entrepreneurship	1,315	1,405	1,415
Less: Interest on public debt	620	695	735
National income at factor cost	42,320	46,570	50,115
Indirect taxes	3,665	4,040	4,270
Less: Subsidies	470	520	550
Net national product at market prices	45,515	50,090	53,835

Source: OECD submission.

Table III. GROSS ASSET FORMATION AND SAVINGS

Millions of Swiss francs, current prices.

	1963	1964	1965
Total gross domestic asset formation	15,120	17,190	17,050
Dwellings	3,590	4,280	4,390
Other building and construction	5,940	6,910	6,800
Machinery and equipment	4,870	5,200	5,410
Stock accumulation	720	800	450
Total savings	15,120	17,190	17,050
Government	1,755	1,455	1,810
Social insurance	715	550	630
Public enterprises	160	140	180
Corporations	2,095	2,245	2,255
Depreciation	4,855	5,450	6,050
Households and non-profit making institutions	3,855	4,930	5,825
Net borrowing from abroad	1,685	1,920	300

Source: OECD submission.

Table IV. GOVERNMENT FINANCE

Millions of Swiss francs, current prices.

	FEDERAL GOVERNMENT			OTHER GOVERNMENT		
	1963	1964	1965	1963	1964	1965
Current receipts	4,100	4,950	4,865	8,535	9,175	9,930
Personal taxes	450	770	640	5,305	5,850	6,365
Corporate taxes	130	305	180	875	955	1,040
Indirect taxes	3,210	3,565	3,770	455	475	500
Income from property and entrepreneurship	250	280	225	1,065	1,125	1,190
Other current transfers	55	30	30	820	755	820
Current transfers from abroad	5	0	20	15	15	15
Current expenditure	3,935	4,790	4,860	6,230	6,830	7,495
Goods and services	1,655	1,840	1,855	4,340	4,760	5,180
of which: civilian	475	545	505	4,115	4,655	5,065
Subsidies	350	395	420	120	125	130
Interest on public debt	270	290	290	350	405	445
Current transfers	1,660	2,265	2,295	1,420	1,540	1,740
To other public authorities	1,425	2,020	2,035	— 1,425	— 2,020	— 2,035
To households	190	185	205	2,795	3,485	3,715
To abroad	45	60	55	50	75	60
Net savings	165	160	5	2,305	2,345	2,435

Source: OECD submission.

TABLE V. LABOUR MARKET, WORKING TIME AND WAGES

	1963	1964	1965	1965	1966
				JAN.-SEPT.	
Labour Market (monthly averages):					
Job applicants	1,014	441	473	435	507
of which: wholly unemployed	825	288	299	278	306
Vacancies	6,126	6,286	5,250	5,546	4,759
				JAN.-JUNE	
Working time:					
Average weekly hours, manufacturing	45.5	45.4	44.9	44.9	44.9
Average weekly hours, building	47.2	47.3	47.1	47.8	47.8
Wages (percentage change from previous year):					
Hourly rates, industry	5.4	6.0	4.8	4.9	6.2
Hourly wages[1]	8.1	8.1	7.5	..	..
Monthly salaries[1]	5.8	7.3	6.8	..	..
Total income from dependent employment	11.5	10.2	9.1	..	..

1. The data relate to the month of October and cover industry, handicrafts, trade, private transportation and, in the case of salaries, also banking and insurance.

Source: La Vie économique: Main economic indicators, OECD.

Table VI. THE FOREIGN LABOUR FORCE[1]

Thousand.

	1963		1964		1965		1966	
	FEB.	AUG.	FEB.	AUG.	FEB.	AUG.	FEB.	AUG.
Total	512.4	690.0	546.2	720.9	561.0	676.3	536.4	648.5
By profession:								
Agriculture, forestry, fishing	9.2	21.8	10.1	19.7	8.7	18.1	8.3	17.1
Mining, quarrying	0.8	1.4	0.8	1.2	0.7	1.4	0.7	1.3
Manufacturing	287.7	313.5	300.6	327.4	314.5	312.2	295.1	296.3
Building, construction	52.3	175.1	64.9	186.3	65.4	168.1	70.0	160.6
Commerce, administration	22.5	24.2	26.7	28.2	27.9	26.8	25.3	25.5
Hotels, restaurants	63.0	72.8	64.0	75.9	66.1	74.6	65.1	73.9
Transport, communications	3.6	4.2	4.4	5.5	5.1	5.2	4.9	5.6
Liberal and technical professions	27.1	38.8	29.9	30.9	31.0	30.1	30.0	30.0
Domestic service	26.2	27.1	24.9	24.7	20.8	20.8	19.6	20.7
Other	20.0	21.1	19.9	21.1	20.9	19.0	17.5	17.6
By nationality:								
Italian	323.2	472.0	335.7	474.3	343.8	448.5	337.2	432.8
Spanish	44.2	63.7	55.5	82.3	64.1	79.4	62.3	77.2
German	74.9	78.4	76.1	78.6	71.9	67.7	60.7	58.4
Austrian	26.3	27.9	26.6	27.7	25.3	24.2	22.0	21.2
French	20.5	21.2	22.7	24.0	24.5	23.8	23.7	25.6
Other	23.3	26.8	29.7	34.0	31.4	32.7	30.5	33.3
By sex:								
Men	321.4	480.6	345.2	501.6	360.0	470.6	345.3	448.6
Women	191.0	209.4	201.0	219.3	201.0	205.7	191.1	199.9

1. The data relate to persons subject to police control and do not include the some 160,000 foreign workers exempted from such control.

Source: La Vie économique.

Table VII. OUTPUT AND EMPLOYMENT IN MANUFACTURING

Percentage change from previous year.

	TOTAL	FOOD, DRINK, TOBACCO	TEXTILES	CLOTHING AND SHOES	CHEMICALS	METALS AND MACHINERY	WATCHES AND JEWELLERY
Output[1]:							
1963/1960	5.8	7.5	3.4	8.5	7.7	5.5	3.9
1964	5.0	3.9	1.6	11.9	9.9	3.9	4.4
1965	3.4	3.8	—0.8	4.4	1.5	0.5	9.8
1966, January-June	3.7	0.7	—4.9	1.2	7.1	0.6	19.0
Employment[2]:							
1963/1960	4.5	5.4	0.4	4.2	4.1	5.6	2.7
1964	1.0	0.4	—2.6	1.9	3.5	1.3	0.5
1965	—2.4	—2.6	—5.5	—4.0	—0.8	—2.4	0.8
Average hours worked weekly:							
1964	—0.3	—0.3	—0.2	—0.2	0.1	—0.7	—0.4
1965	—1.2	—0.6	—1.1	—0.7	—0.3	—1.3	—1.3
1966, January-June	—0.1	—0.2	—0.6	0.0	—0.2	—0.2	—0.1
Employment of foreigners[3]:							
1963/1960	19.6	30.0	10.0	15.4	28.6	20.2	40.2
1964	6.4	5.7	3.3	6.9	19.1	6.0	15.8
1965	—3.2	—0.9	—5.3	—3.5	0.3	—3.7	6.4
1966	—5.1	—3.1	—5.8	—0.5	—0.5	—6.7	3.1
Change of employment of foreigners (in per cent of total employment)[3]:							
1963/1960	5.6	7.0	3.9	7.1	3.5	5.9	4.3
1964	2.4	2.0	1.6	4.0	3.5	2.2	3.0
1965	—1.3	—0.3	—2.9	—2.1	0.1	—1.4	1.7
1966	—2.0	—1.1	—2.9	—0.3	—0.1	—2.6	0.9

1. Including public utilities.
2. Data relate to September.
3. Data relate to September except those for 1966 which show August and classification by profession rather than by industry.

Source : Annuaire Statistique de la Suisse; La Vie économique.

TABLE VIII. MERCHANDISE TRADE

US $ million.

	IMPORTS cif				EXPORTS fob			
	1963	1964	1965	1966 1st HALF	1963	1964	1965	1966 1st HALF
By area:								
OECD countries	2,896.7	3,197.9	3,282.6	1,701.9	1,817.7	1,989.1	2,252.8	1,189.2
EEC	2,070.4	2,225.1	2,289.5	1,151.8	1,010.5	1,058.9	1,183.7	4.561.6
EFTA	433.5	526.8	538.8	292.2	399.2	480.4	555.0	298.4
Other in Europe	42.5	51.9	52.8	25.3	90.0	102.6	124.6	66.3
North America	311.1	350.0	351.8	205.3	257.3	280.1	333.5	181.0
Japan	39.1	44.2	49.7	27.3	60.6	67.1	56.0	29.1
Non OECD countries	337.7	393.2	398.3	217.0	582.8	642.2	719.9	383.0
Eastern Europe	61.2	71.8	80.5	44.1	63.8	64.2	83.6	51.5
Other Europe	18.6	21.7	20.3	12.6	52.2	58.7	56.0	30.8
Africa	68.8	87.0	94.1	45.6	89.6	96.9	107.4	58.4
America	107.5	119.9	108.4	58.1	155.4	169.1	172.2	94.5
Asia and Oceania	81.3	92.7	95.2	56.6	221.5	255.5	300.8	147.8
Total	3,234.7	3,591.3	3,680.9	1,918.8	2,401.7	2,632.0	2,972.6	1,572.2
By SITC Sections:								
0. Food, live animals	426.4	490.6	501.6		104.4	105.0	116.9	
1. Beverages, tobacco	73.2	76.9	85.8		27.4	37.1	41.9	
2. Crude materilas, except fuels	245.1	265.6	252.1		53.8	60.1	67.7	
3. Mineral fuels, lubricants, etc.	268.5	232.1	231.0		1.4	2.9	3.8	
4. Animal and vegetable oils and fats	15.6	16.8	18.4		2.3	2.4	3.1	
5. Chemicals	255.7	315.7	344.5		465.8	526.3	585.0	
6. Semi-manufactures	754.1	837.2	871.8		415.4	458.8	516.6	
7. Machinery, transport equipment	823.8	905.7	884.1		743.3	796.1	894.3	
8. Other manufactures	357.2	429.1	449.5		571.2	629.0	700.2	
9. Other	15.2	21.5	42.1		16.6	14.2	43.0	
Total	3,234.7	3,591.3	3,680.9		2,401.7	2,632.0	2,972.6	

Source: OECD Foreign Trade Statistics, Series A and B.

TABLE IX. MONEY AND CAPITAL MARKET

End of period.

	UNIT	1962	1963	1964	1965	1966		
						MARCH	JUNE	SEPT.
Official discount rate	Percent	2.00	2.00	2.50	2.50	2.50	2.50	3.50
Yield to redemption on Federal bonds	Percent	3.12	3.54	4.07	3.98	3.98	4.04	4.27
Mortgage rate (new first mortgages, 12 Cantonal banks)	Percent	3.76	3.78	4.22	4.42	4.44	4.44	4.49
Medium-term bank bond rate (5 large banks)	Percent	3.39	3.64	4.29	4.39	4.39	4.39	4.64
Savings deposit rate (12 Cantonal banks)	Percent	2.75	2.79	2.98	3.21	3.25	3.31	3.31
Money supply, total	Francs million	27,462	29,652	31,452	32,487	30,762	31,538	33,040
of which: Note circulation and sight deposits with the National Bank	Francs million	11,306	12,223	12,992	13,258	12,040	12,476	12,230
Sight deposits with 62 banks	Francs million	12,491	13,505	14,340	14,753	14,699	14,790	16,671
Deposits on postal cheque accounts	Francs million	3,140	3,353	3,513	3,810	3,357	3,606	3,473
National Bank gold and foreign exchange holdings	Francs million	12,411	13,287	13,473	14,017	12,227	12,934	12,660
of which: Gold	Francs million	11,543	12,204	11,794	13,164	11,478	11,459	11,601
Gold cover of note circulation and sight deposits with the National Bank	Percent	102.1	99.8	90.8	99.3	95.3	91.9	94.9
Recourse to National Bank credits	Francs million	195	240	240	178	294	156	177
Time and savings deposits with 62 banks	Francs million	23,108	26,476	28,887	31,642	32,788	33,112	33,765
Loans and advances by 62 banks	Francs million	38,893	43,174	46,603	50,704	51,433	52,720	53,959
Average share prices (per cent of nominal value)	Percent	835	784	656	544	548	502	468
Average prices of industrial shares (per cent of nominal value)	Percent	1,076	1,007	861	715	733	668	606

Source: Bulletin mensuel de la Banque Nationale Suisse; La Vie économique.

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
53 D Bourke Street, MELBOURNE, C.1.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
Standaard Wetenschappelijke Uitgeverij,
Belgiëlei 147, ANVERS.
Librairie des Sciences (R. Stoops),
76-78, Coudenberg, BRUXELLES.

CANADA
Queen's Printer - Imprimeur de la Reine,
OTTAWA.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6,
KOBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'OCDE,
2, rue André-Pascal, PARIS (16e).
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France,
49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
AIX-EN-PROVENCE : Librairie de l'Université.
BORDEAUX : Mollat.
GRENOBLE : Arthaud.
LILLE : Le Furet du Nord.
LYON 2e : L. Demortière.
STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MUNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 28, rue du Stade, ATHÈNES-132.

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAEL
Emanuel Brown,
35 Allenby Road, and 48 Nahlath Benjamin St.,
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Sous-Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House, Government Road,
P.B. 6854.
NAIROBI.

LEBANON-LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
22, Grand' Rue,
LUXEMBOURG.

MALTA - MALTE
Labour Book Shop, Workers' Memorial Building,
Old Bakery Street, VALLETTA.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images.*
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
W.P. Van Stockum & Zoon,
Buitenhof 36, DEN HAAG.
Sub-Agents : AMSTERDAM : Scheltema & Holkema N.V., Rokin 44. ROTTERDAM : De Wester Boekhandel, Nieuwe Binnenweg 331.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
Auckland (P.O.B. 5344)
Christchurch (P.O.B. 1721)
Dunedin (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bastinos de José Bosch, Pelayo 52,
BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu, ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM - ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E.I.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
OECD Publications Center, Suite 1305,
1750 Pennsylvania Ave, N. W.
WASHINGTON, D.C. 20006.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Marsala Tita, 23, P.O.B. 36,
BEOGRAD.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Bureau des Publications, 2, rue André-Pascal, Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
OECD, Publications Office, 2, rue André-Pascal, Paris (16e).

OECD PUBLICATIONS
2, rue André-Pascal Paris-XVIe
No 21,535. December 1966.

●

PRINTED IN FRANCE

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for 1966-1967 will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA
DENMARK
FRANCE
GERMANY
GREECE
ICELAND*
IRELAND
ITALY
JAPAN
NETHERLANDS
NORWAY
PORTUGAL
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND*
TURKEY
UNITED KINGDOM
UNITED STATES*

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue:	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series:	*3.3*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT